Northmarq

SECOND QUARTER 2024 UPDATE | DATA ENDING JUNE 30, 2024

# The Government-Leased Capital Markets Report

*A quarterly report which tracks and comments on capital markets trends in the government-leased investment sales markets.*

This report is a daily-maintained document updated quarterly by our team, aimed at tracking trends and trades in the government-leased investment sales markets. Northmarq boasts one of the industry's leading government-leased practice groups, with approximately $1.51 billion in sales where federal, state, or municipal governmental agencies are the tenants. Over the past five years, our group's track record includes over 804 transactions totaling $4.89 billion, with more than 50% of property income generated by governmental agencies, contractors, or quasi-governmental users at the time of sale.

Personally, I have handled 475 transactions, amounting to $3.45 billion in volume over my eighteen-year career.

The following pages aim to provide real-time value to you and your business, showcasing the level of service and quality of work our firm offers. Please feel free to reach out if there's anything we can do to assist you. We welcome the opportunity to utilize our extensive knowledge and resources to help you achieve your goals. We look forward to leveraging our specialization, experience, and proven track record to benefit you, our valued client.

Best Regards,


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*Section One*

# CAPITAL MARKETS

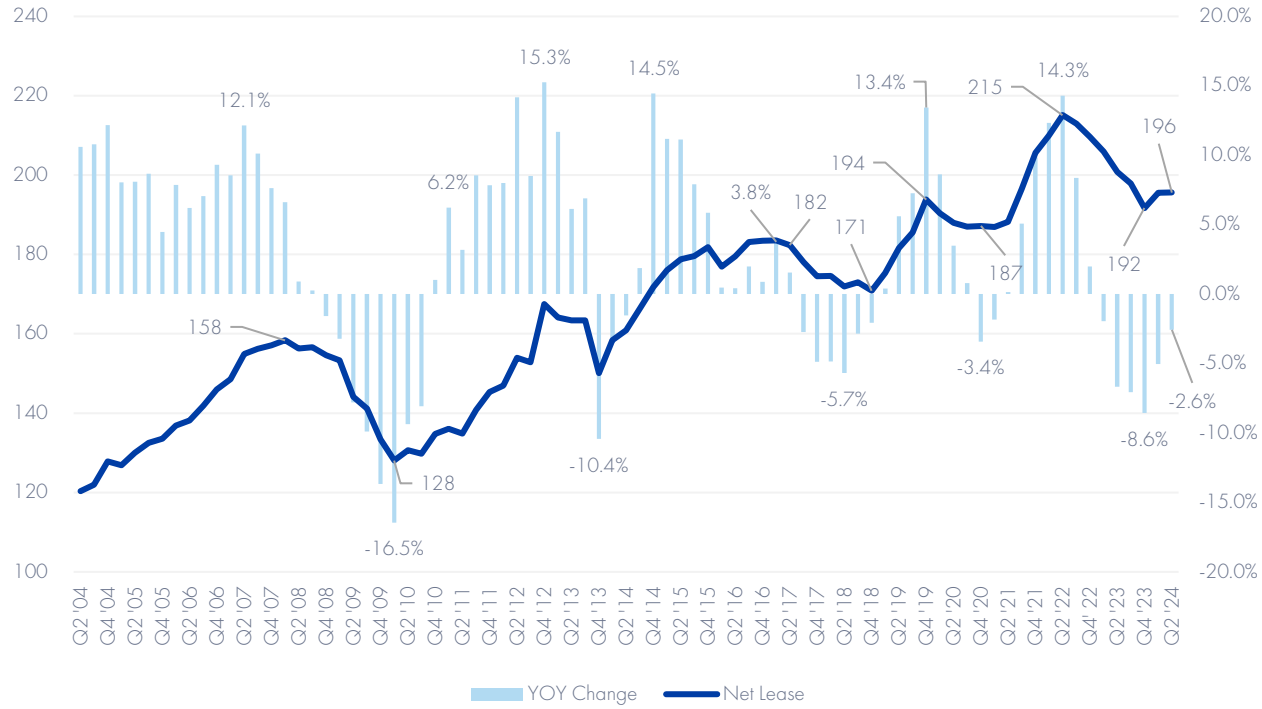
# NET LEASE INVESTMENT SALES MARKET

## NET LEASE VALUATION INDEX

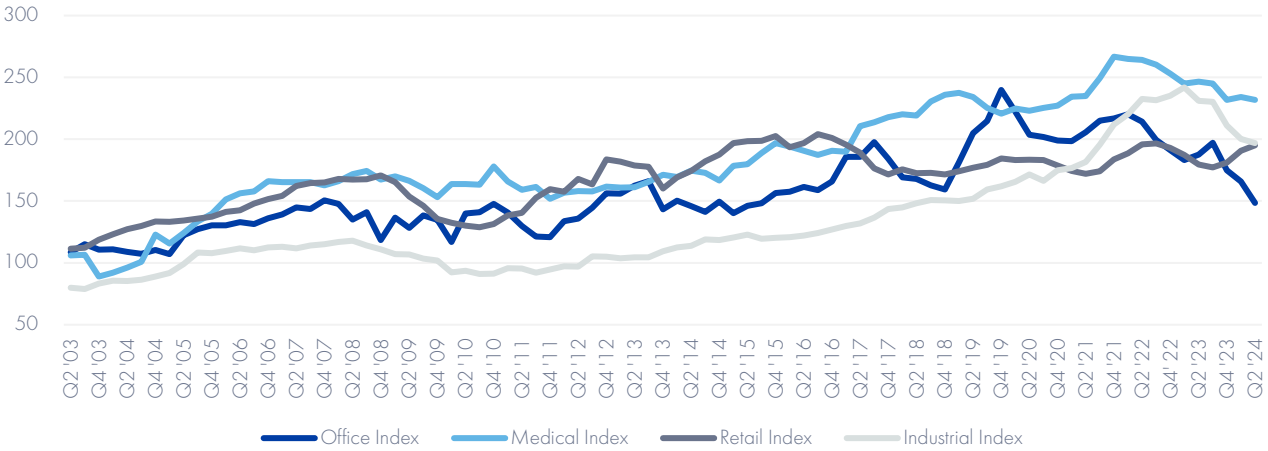
Single-tenant net lease properties continued to experience market devaluation through the second quarter; however, the rate of decline appears to have slowed in recent quarters. Various dynamic factors are influencing property values, including inflation, construction costs, treasury yields, cap rates, and changes in the demand for traditional office spaces. This report delves into these factors.

The accompanying chart illustrates the values of net lease commercial real estate across office, medical, industrial, and retail subsectors over the past twenty years. The valuation index, represented by the dark blue line, accounts for fluctuations in rent, construction costs, and capital market conditions, normalizing these values over time. The light blue bars depict the year-over-year percentage changes in the index, indicating the momentum of value changes within the sector. A smaller chart further breaks down these subcomponents by property type, providing insights into each specific market.

As of the end of the second quarter, the valuation index stood at 196, which is approximately 22% above the 25-year average of 160, yet 9% below the all-time high of 215 set in the second quarter of 2022. For context, the period leading up to the GFC saw a peak increase of 12.1% year-over-year in this index in the second quarter of 2007, followed by a decline of 16.5% at its low point in the first quarter of 2010.




## PRODUCT TYPE VALUATION INDEX BREAKDOWN



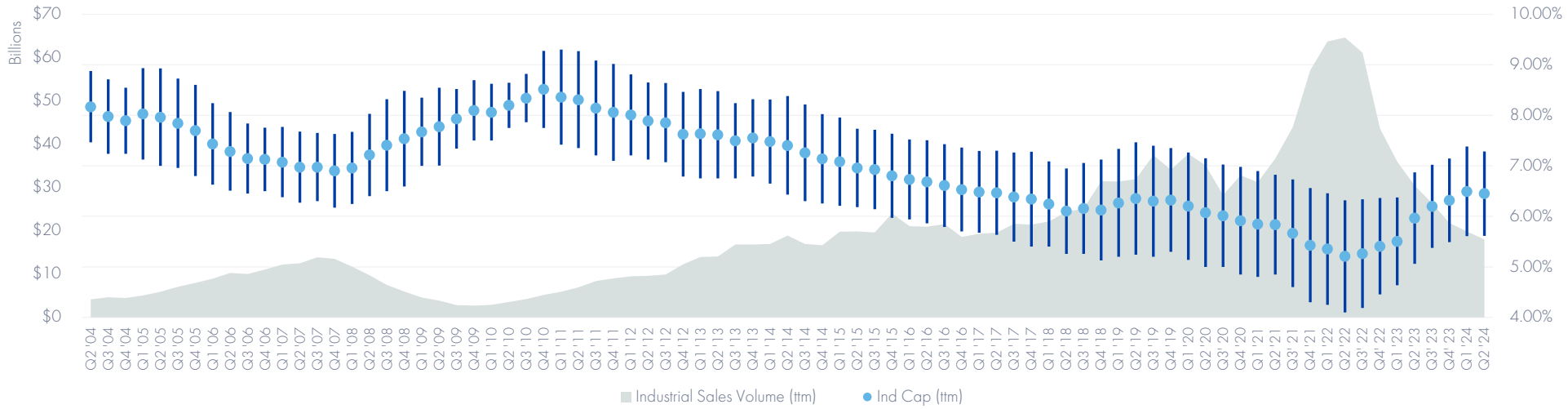
# NET LEASE INVESTMENT SALES MARKET

## INDUSTRIAL VOLUME & CAP RATE RANGES

The industrial investment sales market has experienced consistent cap rate compression over the past decade, with a notable trend of traditional net lease investors shifting from retail to e-commerce-aligned investments. This shift has been a key driver of demand in the industrial subsector, influencing cap rates. In the second quarter of 2022, the single-tenant industrial investment sales market reached an all-time high, with a trailing twelve-month volume of $64.65 billion—nearly double the previous pre-pandemic highs. This volume is also significantly above the highs recorded in early 2007 and far exceeds the long-term average of $22.97 billion over the past fifteen years.

The pandemic accelerated existing trends, with e-commerce growth driving an expansion in the industrial investment sales market, pushing it beyond the previous highs of just a few years ago. As inflation concerns rose, the Federal Reserve adjusted interest rates rapidly starting in the first half of 2022. This increase in the cost of capital slowed transaction volumes by the end of 2022 and led to cap rate expansion in the sector. Additionally, dynamic shifts, such as Amazon's announcement of closing millions of square feet of industrial space, contributed to rising cap rates, as reflected in the trailing twelve-month average.

The chart below provides details on U.S. industrial investment sales. As of the second quarter, the trailing twelve-month sales volume stood at $17.96 billion (shown in gray), with an average cap rate of 6.45% (indicated by the sky blue dot). The upper and lower quartile cap rates over the past twelve months were 5.62% and 7.28%, respectively (represented by the blue band). Cap rates in this sector have increased by about 150 basis points from their lows in the second quarter of 2022, mirroring the rise in interest rates over the same period.




| | 2Q-2024 | 1Q-2024 | 2Q-2023 | 2Q-2022 | 5-YEAR AVG | 10-YEAR AVG | 15-YEAR AVG |
|---|---|---|---|---|---|---|---|
| **Volume** | $17.96B | $19.83B | $30.4B | $64.65B | $37.99B | $30.18B | $22.97B |
| **Cap** | 6.45% | 6.49% | 5.97% | 5.21% | 5.89% | 6.24% | 6.80% |
| **Upper Quartile Cap** | 7.28% | 7.38% | 6.87% | 6.32% | 6.89% | 7.17% | 7.68% |
| **Lower Quartile Cap** | 5.62% | 5.61% | 5.06% | 4.10% | 4.89% | 5.32% | 5.92% |

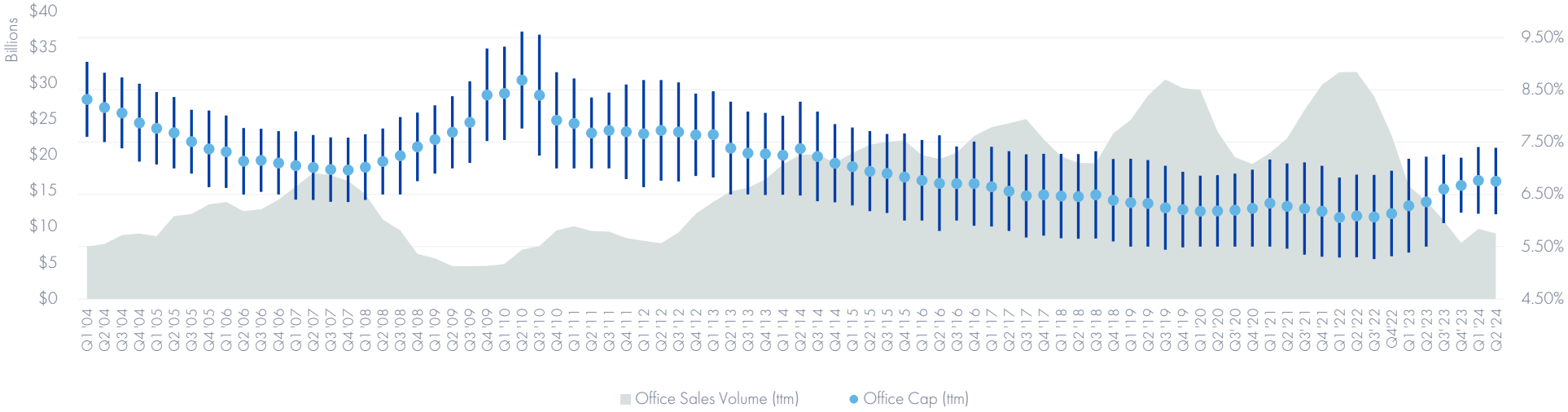
# NET LEASE INVESTMENT SALES MARKET

## OFFICE VOLUME & CAP RATE RANGES

Similar trends are affecting the office investment sales market. For the past decade, the office market has seen gradual cap rate compression. Heading into the end of 2019, the office investment sales market was gaining momentum, reaching an all-time record in sales volume of $30.2 billion, with cap rates and upper and lower quartiles at historic lows. This momentum was largely driven by new investors seeking properties aligned with e-commerce providers as they moved away from traditional retail investments. However, the COVID-19 pandemic introduced significant disruption, with government-mandated shutdowns leading many office employees to adopt a prolonged work-from-home model.

This period of uncertainty—both in terms of duration and impact—caused significant shifts in the office investment sales market, affecting buyers, landlords, lenders, and tenants. Although there were two consecutive quarters of increasing sales volume, many uncertainties persist. Many tenants have yet to return to regular office hours for most of their workforce, and investors are cautiously anticipating changes in space demand as users weigh concerns about de-densification against the rise of remote work. While these concerns unfold, rising interest rates aimed at curbing inflation have increased the cost of capital, significantly slowing transaction volumes and causing cap rates to rise.

The chart below details office investment sales in the U.S. As of the second quarter, the trailing twelve-month sales volume was $9.09 billion (shown in light gray). The trailing twelve-month average cap rates were 6.75% (indicated by the sky blue dot), with upper and lower quartile cap rates over the past twelve months at 6.12% and 7.39%, respectively (represented by the blue band). Cap rates have risen by approximately 70 basis points from their lows in the third quarter of 2022.




| | 2Q-2024 | 1Q-2024 | 2Q-2023 | 2Q-2022 | 5-YEAR AVG | 10-YEAR AVG | 15-YEAR AVG |
|---|---|---|---|---|---|---|---|
| **Volume** | $9.09B | $9.73B | $13.62B | $31.58B | $21.53B | $21.68B | $17.97B |
| **Cap** | 6.75% | 6.77% | 6.36% | 6.09% | 6.30% | 6.49% | 6.92% |
| **Upper Quartile Cap** | 7.39% | 7.41% | 7.22% | 6.88% | 7.06% | 7.27% | 7.73% |
| **Lower Quartile Cap** | 6.12% | 6.13% | 5.50% | 5.30% | 5.55% | 5.72% | 6.11% |

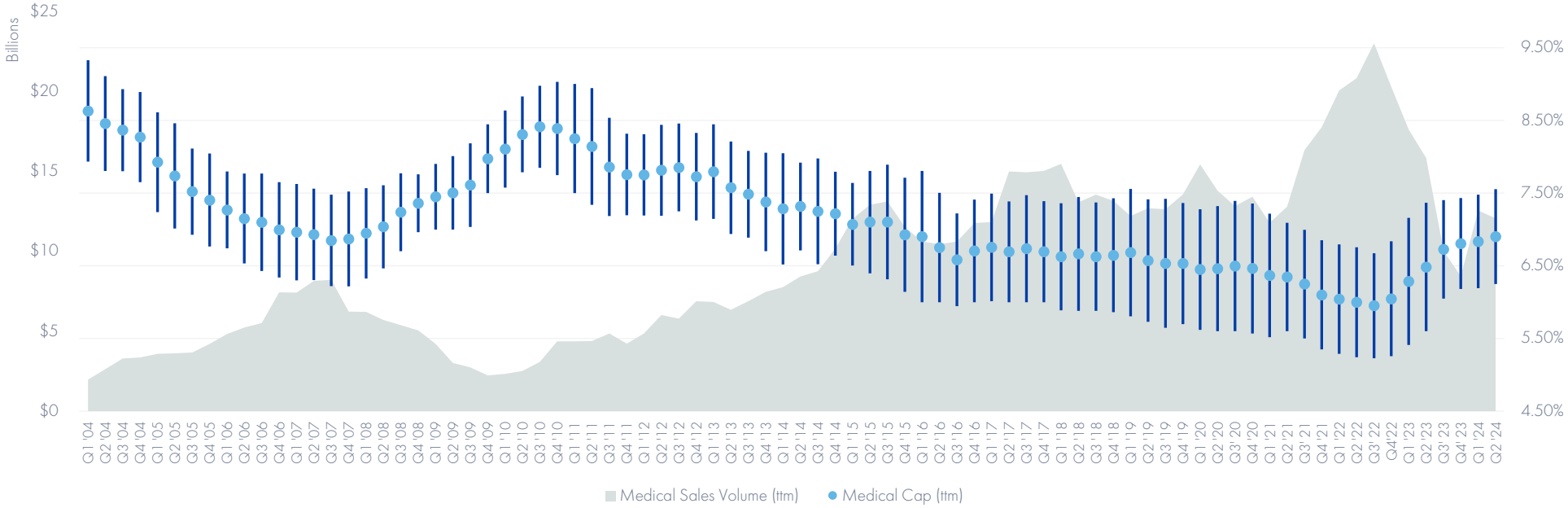
# NET LEASE INVESTMENT SALES MARKET

## MEDICAL VOLUME & CAP RATE RANGES

The medical investment sales market has experienced trends similar to those seen in the industrial sector, including consistent cap rate compression over the past decade. Traditional net lease investors have been shifting from retail to e-commerce-aligned investments, driving demand in the medical subsector and influencing cap rates. The pandemic intensified this trend, as healthcare assets providing essential services (mandatory rather than elective) became highly sought after, leading to lower cap rates. The continued consolidation and aggregation of practices by larger entities have commoditized the product in this space, with build-to-suit net lease products becoming more common, similar to the retail sector.

Despite the resilience of this market over the past decade, it is not immune to the challenges posed by rising interest rates, which have increased the cost of capital. This has resulted in an 90 basis point expansion in the trailing twelve-month average cap rates across the board.

The chart below provides details on the U.S. medical investment sales market. As of the second quarter, the trailing twelve-month sales volume was $12.05 billion (shown in light gray), with an average cap rate of 6.90% (depicted by the sky blue dot). The upper and lower quartile cap rates over the past twelve months were 6.25% and 7.55%, respectively (represented by the blue bands).



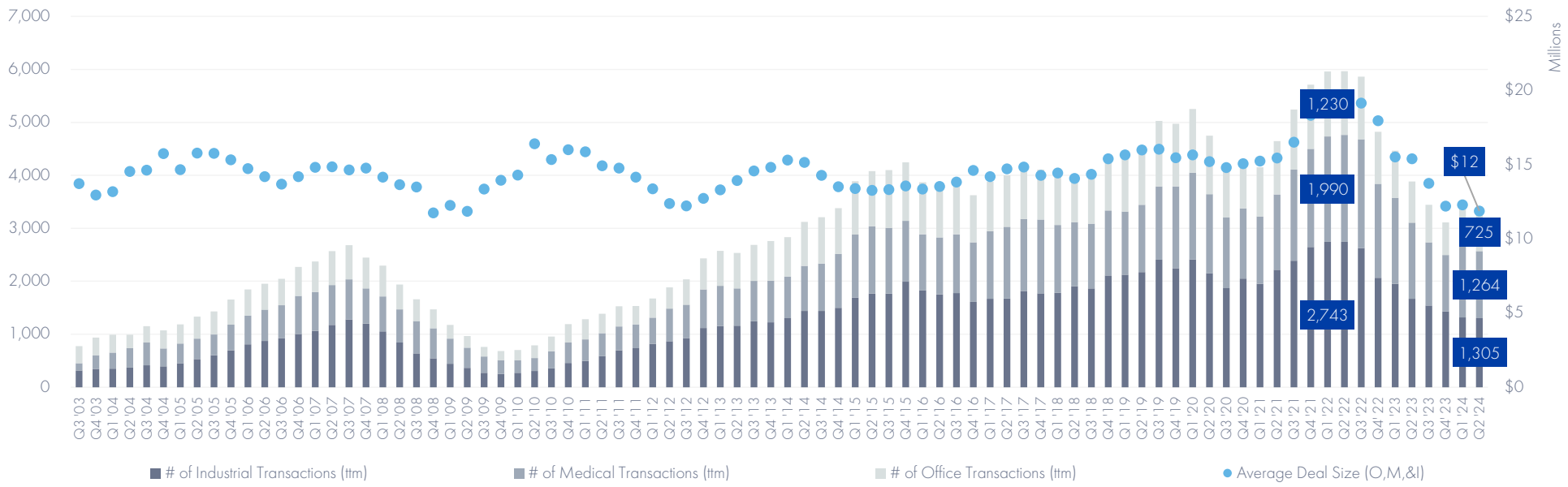

| | 2Q-2024 | 1Q-2024 | 2Q-2023 | 2Q-2022 | 5-YEAR AVG | 10-YEAR AVG | 15-YEAR AVG |
|---|---|---|---|---|---|---|---|
| **Volume** | $12.05B | $12.55B | $15.84B | $20.83B | $15.05B | $13.75B | $10.87B |
| **Cap** | 6.90% | 6.84% | 6.48% | 6.00% | 6.40% | 6.61% | 7.02% |
| **Upper Quartile Cap** | 7.55% | 7.48% | 7.37% | 6.76% | 7.19% | 7.37% | 7.73% |
| **Lower Quartile Cap** | 6.25% | 6.19% | 5.60% | 5.24% | 5.62% | 5.85% | 6.31% |

# NET LEASE INVESTMENT SALES MARKET

## TRANSACTION COUNT & AVERAGE DEAL SIZE | OFFICE, INDUSTRIAL, MEDICAL

Transaction activity remains robust, reaching an all-time high by the end of the first quarter of 2022 with 2,718 industrial transactions, 1,983 medical transactions, and 1,219 office transactions. This surge is largely driven by increased investment activity in the industrial and medical sectors. The transaction counts across all three subsectors are near their fifteen-year averages. A notable observation is that the average deal sizes in the medical, office, and industrial sectors ended the second quarter at approximately $11.87 million, aligning with long-term averages. However, capitalization rates are more than 100 basis points lower than their fifteen-year average, indicating that current rents are lower compared to the past fifteen years. This difference suggests that contractual rental rates versus market rental rates, particularly for first-generation build-to-suit products, should be a key consideration for landlords and investors evaluating projects constructed between 2002-2008.

The chart below shows transaction counts in the office, medical, and industrial markets, with an average deal size indicated. The second quarter ended with 725 office transactions over the previous twelve months (shown in light gray), 1,264 medical transactions (shown in gray), and 1,305 industrial transactions (shown in dark gray), with an average transaction value of $11.87 million (depicted by the sky blue dot).



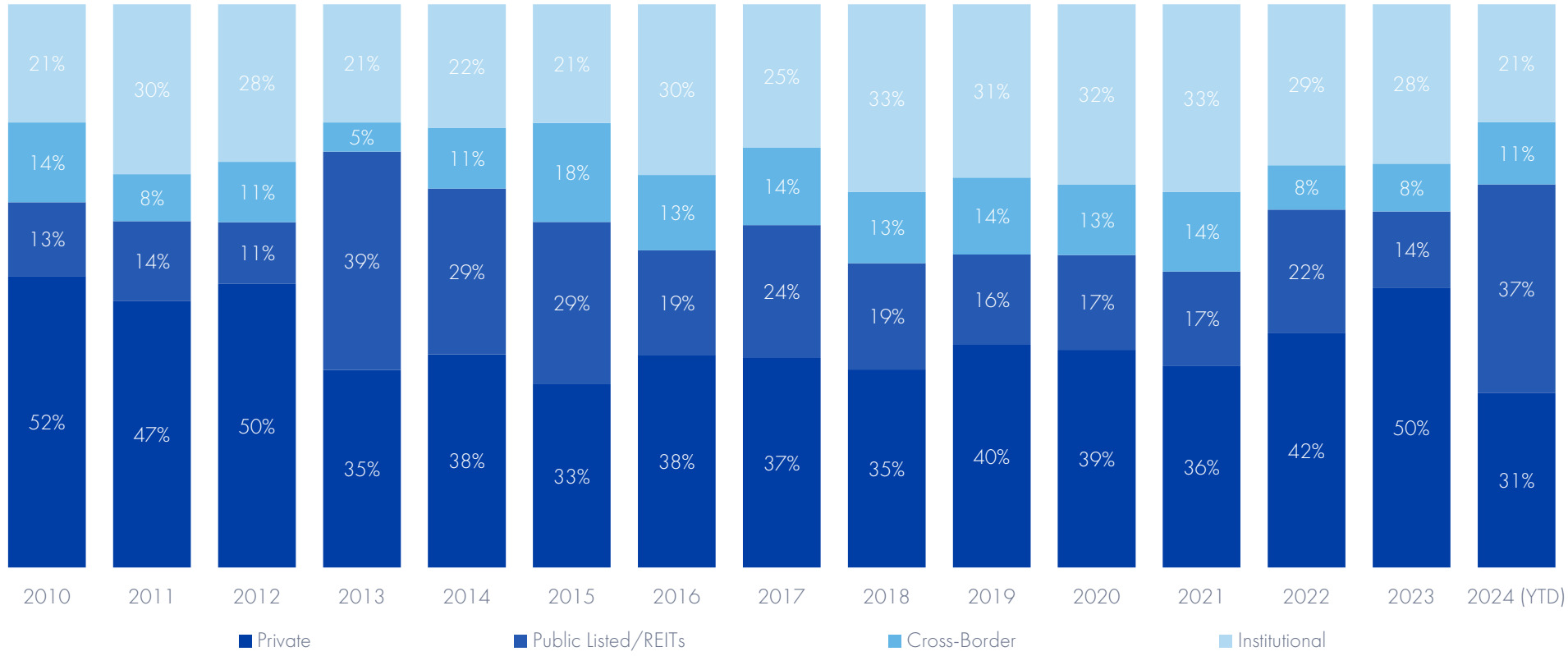

| | 2Q-2024 | 1Q-2024 | 2Q-2023 | 2Q-2022 | 5-YEAR AVG | 10-YEAR AVG | 15-YEAR AVG |
|---|---|---|---|---|---|---|---|
| **Office Transactions** | 725 | 755 | 780 | 1,204 | 995 | 984 | 807 |
| **Industrial Transactions** | 1,305 | 1,317 | 1,668 | 2,743 | 2,087 | 1,944 | 1,558 |
| **Medical Transactions** | 1,264 | 1,353 | 1,437 | 2,020 | 1,538 | 1,367 | 1,088 |
| **Total Transactions** | 3,294 | 3,425 | 3,885 | 5,967 | 4,620 | 4,295 | 3,452 |
| **Average Deal Size** | $11.87M | $12.3M | $15.41M | $19.62M | $15.75M | $14.99M | $14.78M |

# NET LEASE INVESTMENT SALES MARKET

## BUYER POOL | OFFICE, INDUSTRIAL, MEDICAL

Investor demand for high-quality office, medical, and industrial properties remains robust, fueling strong competition among market participants. Over the past decade, the cost of capital has been at or near all-time lows for many investors, driving capitalization rates down. Starting in 2013, single-tenant or net-lease-focused Real Estate Investment Trusts (REITs) began influencing the market significantly by seeking high-quality properties. While REITs continue to be key players in the market, the largest and most active participants have always been private capital. In recent years, there has been a notable increase in foreign capital investment, particularly in deals of a certain size or in partnerships with nationally based sponsors.

The chart below shows the composition of the buyer pool by capital structure based on total dollars invested in office, medical, and industrial investment sales. Private buyers, which include family offices, individuals, trusts, or small funds, comprise around 37% of the total buyer pool over the past ten years. Publicly listed REITs, representing any publicly held real estate investment vehicle or REIT-status entity, make up around 20% of the buyer pool. Cross-border investors, encompassing any foreign-based or major foreign investor capital structures, account for about 15% of the buyer pool, typically involved in larger deals in major metropolitan areas. Institutional investors, such as banks, insurance companies, pension funds, or similar structures, represent around 28% of the buyer pool, also often engaging in larger transactions in major metros.

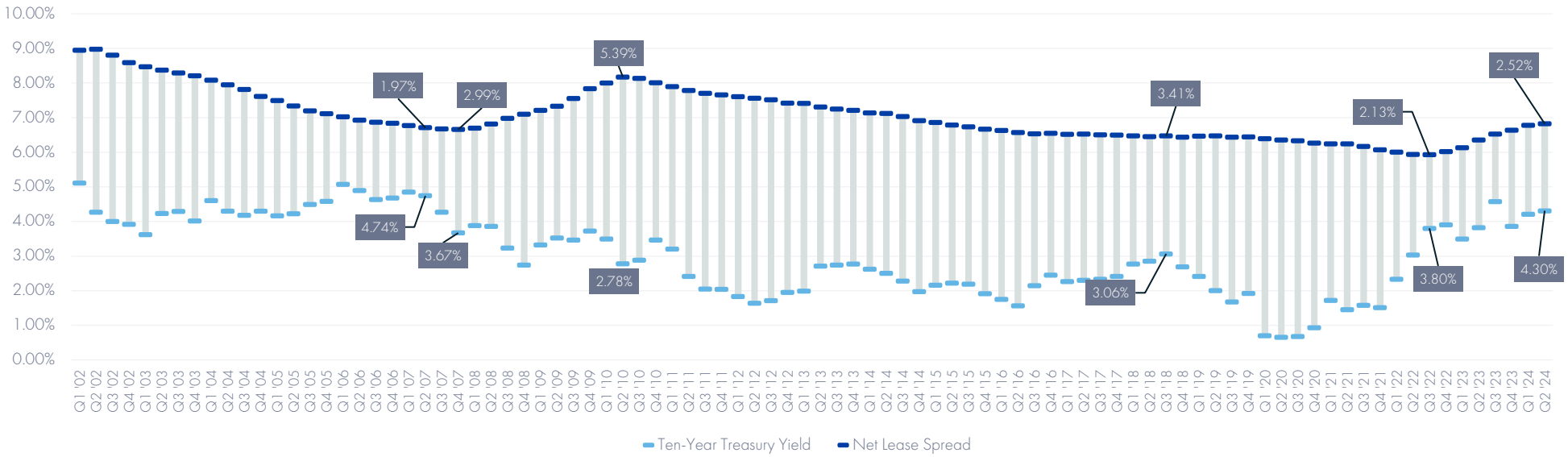


# NET LEASE INVESTMENT SALES MARKET

## YIELD SPREADS | OFFICE, INDUSTRIAL, MEDICAL

As previously mentioned, the cost of capital significantly influences capitalization rates, and the availability of leveraged non-recourse financing mechanisms at low interest rates is crucial for operating in a low capitalization rate environment. Historically, capitalization rates have lagged behind interest rate movements by six to twelve months. Recently, we have observed several consecutive interest rate increases by the Federal Reserve, leading to higher interest rates. The spread between capitalization rates and interest rates is currently narrow compared to historical norms, with the point of neutral leverage now beginning well into the sevens for core products. This is below the long-term average spread for office, medical, and industrial deals. The ten-year treasury yield has been volatile, fluctuating between 4.18% and 4.70% during the quarter. Many expect capitalization rates to continue to expand as elevated costs of capital dampen investment volumes in the space.

The chart below illustrates the capitalization rate spread on medical, office, and industrial deals compared to the ten-year treasury yield over the past fifteen years. As of the second quarter, the ten-year treasury yield stood at 4.30% (shown in sky blue at the bottom of the band), while the average trailing twelve-month capitalization rates for these sectors were 6.79% (depicted in blue at the top of the band), resulting in a yield spread of 2.52% (represented by the band). Although there has been some slight relief in the reduction of the yield spread, the first quarter remains significantly below the five, ten, and fifteen-year averages, which are around 4.50%. Furthermore, the period from the second half of 2022 to now has seen yield spreads close to the all-time lows observed in the first quarter of 2007, which were at 2.06%.




| | 2Q-2024 | 1Q-2024 | 2Q-2023 | 2Q-2022 | 5-YEAR AVG | 10-YEAR AVG | 15-YEAR AVG |
|---|---|---|---|---|---|---|---|
| **10-Year** | 4.30% | 4.21% | 3.82% | 3.03% | 2.51% | 2.40% | 2.46% |
| **Spread** | 2.52% | 2.57% | 2.53% | 2.90% | 3.80% | 4.06% | 4.38% |

*Spread is defined in this report as the average ttm capitalization rate on office or industrial over the current 10-year treasury yield

# GOVERNMENT-LEASED INVESTMENT SALES MARKET

## GOVERNMENT LEASED VALUATION INDEX

The market for government-leased properties continued to see devaluation through the first quarter, although the rate of decline has slowed in recent quarters. This report will explore various dynamic factors influencing property values, including inflation, construction costs, treasury yields, cap rates, and shifts in demand and usage of traditional office spaces.

The chart below visually represents the values of commercial real estate leased to government tenants over the past twenty-five years. The valuation index, depicted by the dark blue line, is a nominal figure that accounts for changes in rent and construction costs, normalizing values over time by considering current capital market conditions and the cost of capital. This index provides a broad overview of the trends in government-leased commercial real property values. The light blue bars illustrate the year-over-year percentage changes in this index, highlighting the momentum of value changes in the sector.

As of the second quarter, the valuation index stood at 235.8, approximately 52% above the twenty-five-year average of 155.5, but 4% below the all-time high of 246.2 set in August 2022. For context, the period leading up to the Great Recession saw a significant increase in this index, with a 54.1% year-over-year change at its peak in the first quarter of 2006, followed by a 40.0% decrease at its low point in the second quarter of 2009.

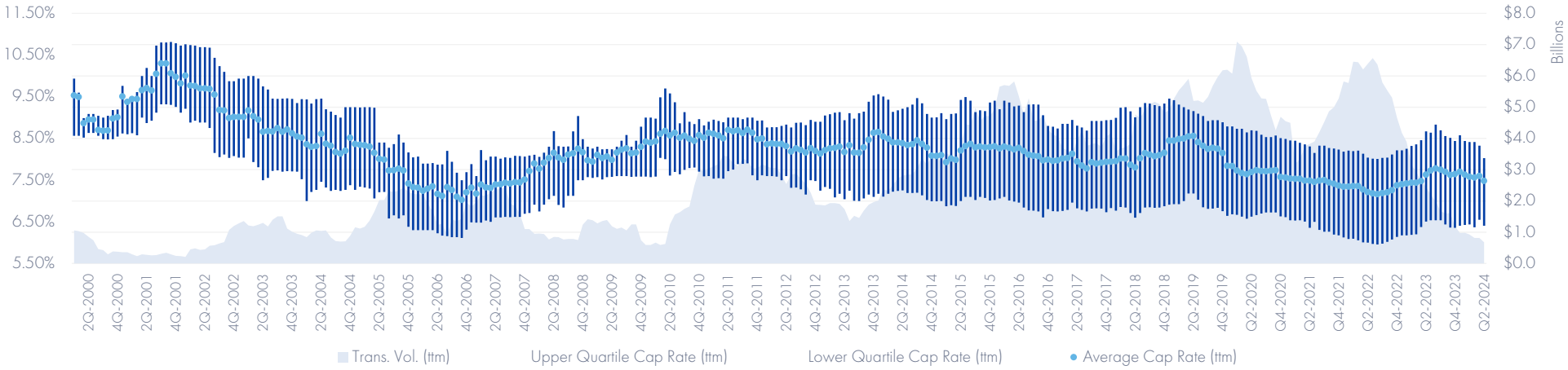
# GOVERNMENT-LEASED INVESTMENT SALES MARKET

## VOLUME & CAP RATE RANGES

Many of the broader investment sales market trends also significantly impact the government-leased market. Investors are consistently drawn to government-leased opportunities due to their long-term tenancy, high credit quality, and relative insulation from broader macro-economic trends. The chart below, similar in structure to previous ones, illustrates the trailing twelve-month investment sales volume for properties where federal, state, or municipal governments directly occupy 50% or more of the total rentable building area, depicted in blue. The chart also shows the trailing twelve-month average capitalization rate in green, along with the upper and lower quartile capitalization rates.

**The second quarter concluded with a government-leased investment sales volume of $610 million at an average cap rate of 7.47%, with the upper and lower quartile cap rates at 6.36% and 8.02%, respectively.** While the capitalization rate compression trend in the government-leased sector slowed compared to the broader market leading into 2019, it gained momentum towards the year's end, further fueled by the pandemic. This surge in demand led to record-high volumes in the second quarter of 2020.

We anticipate that demand for government-leased properties will remain strong compared to other asset classes in the coming quarters, driven by investors seeking stable rental income and assets aligned with e-commerce trends. However, we expect a divergence in demand between high-quality and lower-quality properties, as indicated by a widening gap between the lower and upper quartile cap rates. This trend is particularly relevant in light of rising interest rates and broader economic uncertainties. Core properties will likely be the last to see significant cap rate adjustments, but the rising cost of capital will inevitably affect the supply-demand balance for cap rates. Cap rates have begun to move across all sectors, and the government-leased market may face challenges due to lenders' hesitance to finance office properties from 2022 onwards.




| | 2Q-2024 | 1Q-2024 | 2Q-2023 | 2Q-2022 | 5-YEAR AVG. | 10-YEAR AVG. | 15-YEAR AVG. |
|---|---|---|---|---|---|---|---|
| **Transaction Volume (ttm)** | $.61B | $.88B | $2.43B | $6.36B | $4.3B | $4.33B | $3.61B |
| **Upper Quartile Cap Rate (ttm)** | 8.02% | 8.43% | 8.65% | 8.04% | 8.45% | 8.80% | 8.87% |
| **Lower Quartile Cap Rate (ttm)** | 6.36% | 6.40% | 6.41% | 6.00% | 6.41% | 6.66% | 6.93% |
| **Average Cap Rate (ttm)** | 7.47% | 7.57% | 7.60% | 7.21% | 7.59% | 7.87% | 8.05% |

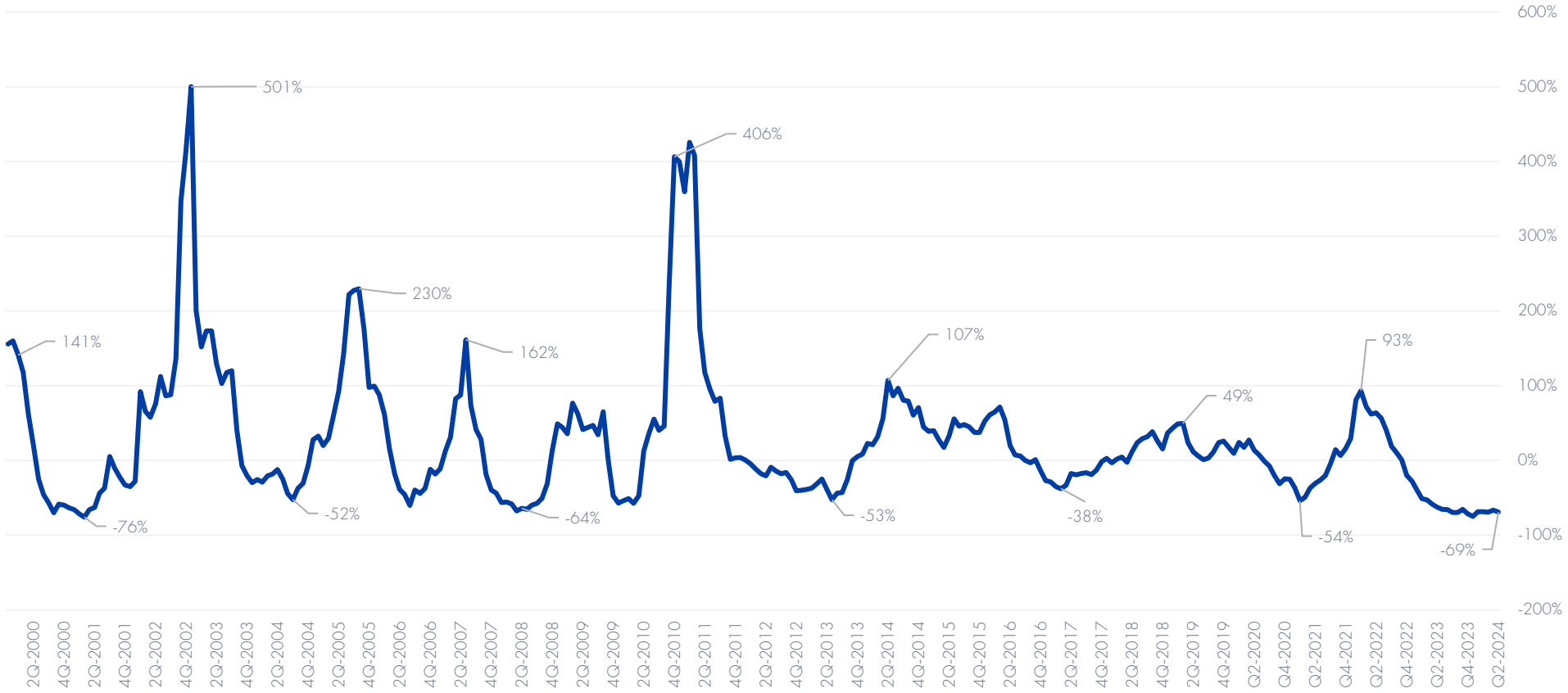
# GOVERNMENT-LEASED INVESTMENT SALES MARKET

## YOY CHANGE (%)

The chart below represents the year-over-year percentage change in transaction volume in the government-leased property market over time. Similar to the broader commercial real estate market, this sector experienced periods of instability following the Great Recession and the early 2000s dot-com bubble. However, over the past seven to eight years, the market has stabilized, attracting liquidity from competitive funds targeting this space.

It will be interesting to observe the impact of the recent rapid rise in interest rates on this market over the next few quarters. By the end of the second quarter of 2024, there has already been a trailing twelve-month decline of 72% in transaction volume. This is a significant drop compared to the post-pandemic market reaction, where transaction volume bottomed out at a 55% decline ending March 31, 2021, before rebounding with a 98% increase by March 31, 2022.

The market's future will depend on how the supply-demand dynamics adjust to the new normal, with the cost of capital now 350 basis points higher than twenty-four months ago.



# GOVERNMENT-LEASED INVESTMENT SALES MARKET

## CAP RATE COMPARISON | THE VALUE OF FIRM LEASE TERM

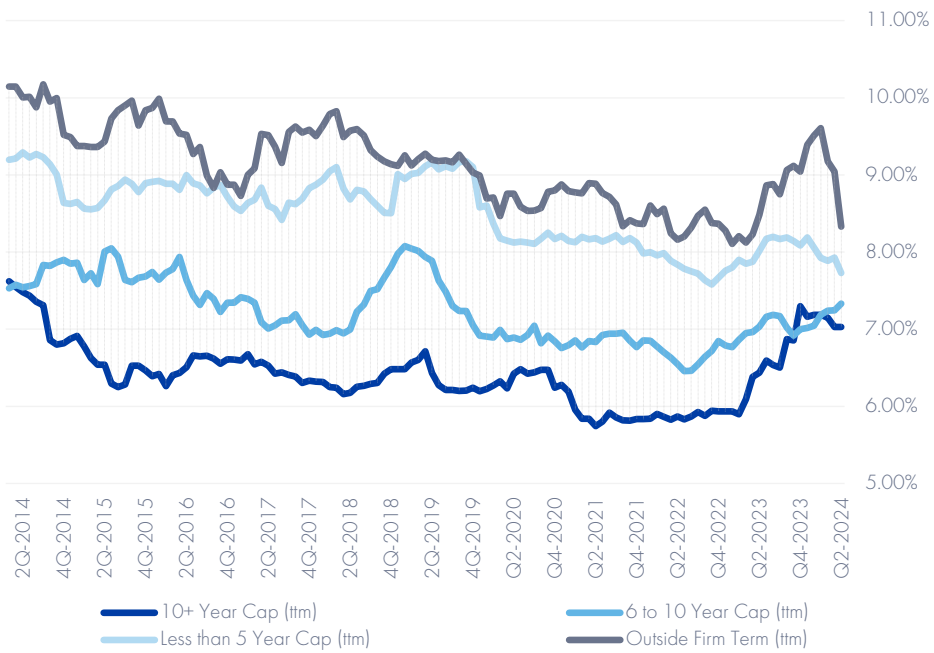
An average, upper, and lower quartile comparison of capitalization rates over a set time period provides useful insights into broader market trends. However, it should not be the only tool used, as it doesn't account for location fundamentals and lease economics. The chart below attempts to illustrate the impact of firm lease terms on market demand, which influences the achievable capitalization rate.

The dark blue line represents the trailing twelve-month average capitalization rate for government-leased investment sales with more than ten years of firm lease term remaining at closing. As of the second quarter, properties with over ten years of firm lease term had an average cap rate of 6.94%, compared to the ten-year average of 6.35%.

The sky blue line indicates the trailing twelve-month average capitalization rate for sales with between six and ten years of firm lease term remaining. These properties averaged a cap rate of 7.27% in the second quarter, slightly above the ten-year average of 7.22%. The long-term cap rate premium was 33 basis points, compared to the historical average of 87 basis points.

The light blue line shows the trailing twelve-month average capitalization rate for sales with five or fewer years of firm lease term remaining. These properties averaged 7.73% in the second quarter, below the long-term average of 8.49%. The mid-term cap rate premium was 46 basis points, compared to the historical average of 126 basis points.

The dark gray line depicts the trailing twelve-month average capitalization rate for properties with no firm lease term remaining. As of the second quarter, these properties had an average cap rate of 8.33%, compared to the long-term average of 9.08%. The firm-term cap rate premium was 60 basis points, at the historical average of 60 basis points.




| | 2Q-2024 | 1Q-2024 | 2Q-2023 | 2Q-2022 | 5-YR AVG. | 10-YR AVG. | 15-YR AVG. |
|---|---|---|---|---|---|---|---|
| **10+ Year Cap (ttm)** | 6.94% | 6.98% | 6.15% | 5.87% | 6.18% | 6.35% | 6.76% |
| **Long-Term Premium** | 0.33% | 0.13% | 0.88% | 0.68% | 0.75% | 0.87% | 0.78% |
| **6 to 10 Year Cap (ttm)** | 7.27% | 7.11% | 7.03% | 6.55% | 6.93% | 7.22% | 7.54% |
| **Mid-Term Premium** | 0.46% | 0.83% | 0.99% | 1.29% | 1.23% | 1.26% | 1.15% |
| **Less than 5 Year Cap (ttm)** | 7.73% | 7.94% | 8.02% | 7.84% | 8.16% | 8.49% | 8.70% |
| **Firm-Term Premium** | 0.60% | 1.58% | 0.45% | 0.32% | 0.54% | 0.60% | 0.48% |
| **Outside Firm Term (ttm)** | 8.33% | 9.52% | 8.47% | 8.16% | 8.70% | 9.08% | 9.18% |

# GOVERNMENT-LEASED INVESTMENT SALES MARKET

## CAP RATE BY GOVERNMENT TYPE

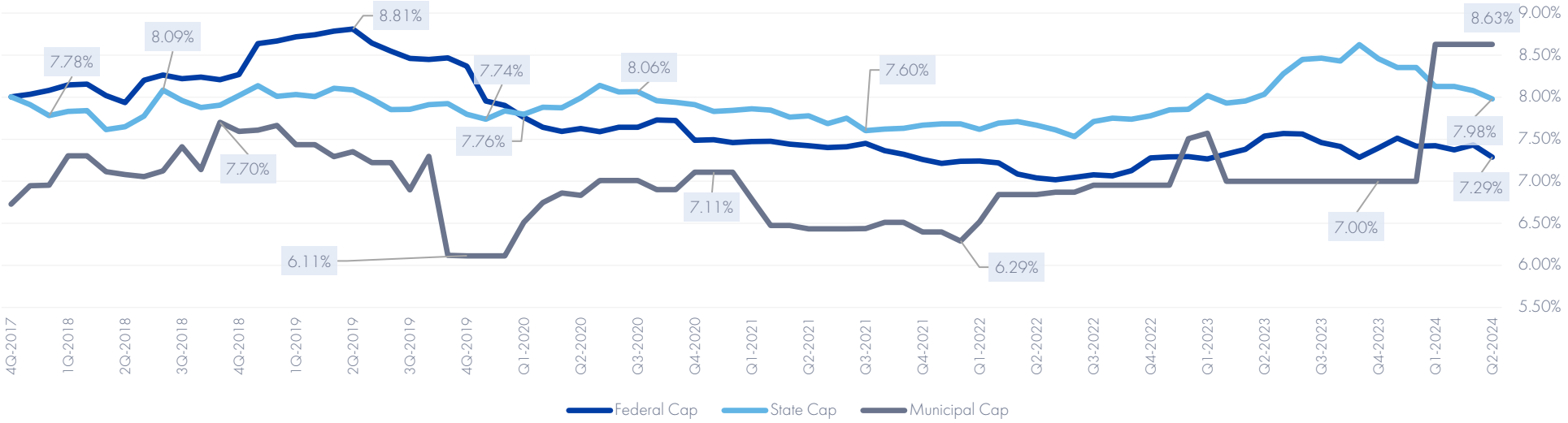
Using averages, even when segmented by the remaining firm lease term, does not fully capture the complexities of the capital markets when analyzing specific deals or subsectors within the government-leased investment sales market. Our team conducts valuation analyses and disposition proposals by thoroughly examining what we refer to as the "three legs of the stool": (1) the credit and operation of the tenant; (2) the economics of the lease; and (3) the underlying real estate fundamentals, particularly in relation to the contractual rental income.

Governmental bodies often structure their leases differently, affecting the valuation outcomes. The chart on the right illustrates how these varying lease structures impact valuation over time. The trailing twelve-month average capitalization rate for federal-leased investment sales is shown in blue. Federal leases are typically modified gross, with adjustments for real estate taxes and indexed adjustments over the base year operating expense, often without rental increases or options, and may include a termination option after a set date, along with specifying tenant improvements as part of the rental revenue.

The trailing twelve-month average capitalization rate for state-leased investment sales is depicted in sky blue. State leases are usually full service, often including a rolling termination option or one tied to future funding appropriations.

The trailing twelve-month average capitalization rate for municipal-leased investment sales is shown in gray. Municipal leases are generally triple net, typically lacking termination options but including periodic rental increases.

As of the second quarter, the average cap rates were 7.27% for federal-leased properties, 7.98% for state-leased properties, and 8.63% for municipal-leased properties.




| | 2Q-2024 | 1Q-2024 | 2Q-2023 | 2Q-2022 | FIVE-YEAR AVG. | TEN-YEAR AVG. | FIFTEEN-YEAR AVG. |
|---|---|---|---|---|---|---|---|
| **Federal Cap** | 7.27% | 7.40% | 7.50% | 7.04% | 7.51% | 7.85% | 8.03% |
| **State Cap** | 7.98% | 8.13% | 8.04% | 7.67% | 7.92% | 8.04% | 8.25% |
| **Municipal Cap** | 8.63% | 8.63% | 7.00% | 6.84% | 6.93% | 6.78% | 7.49% |

# GOVERNMENT-LEASED INVESTMENT SALES MARKET

## COST OF CAPITAL AND THE IMPACT INTEREST RATES HAVE ON VALUATION

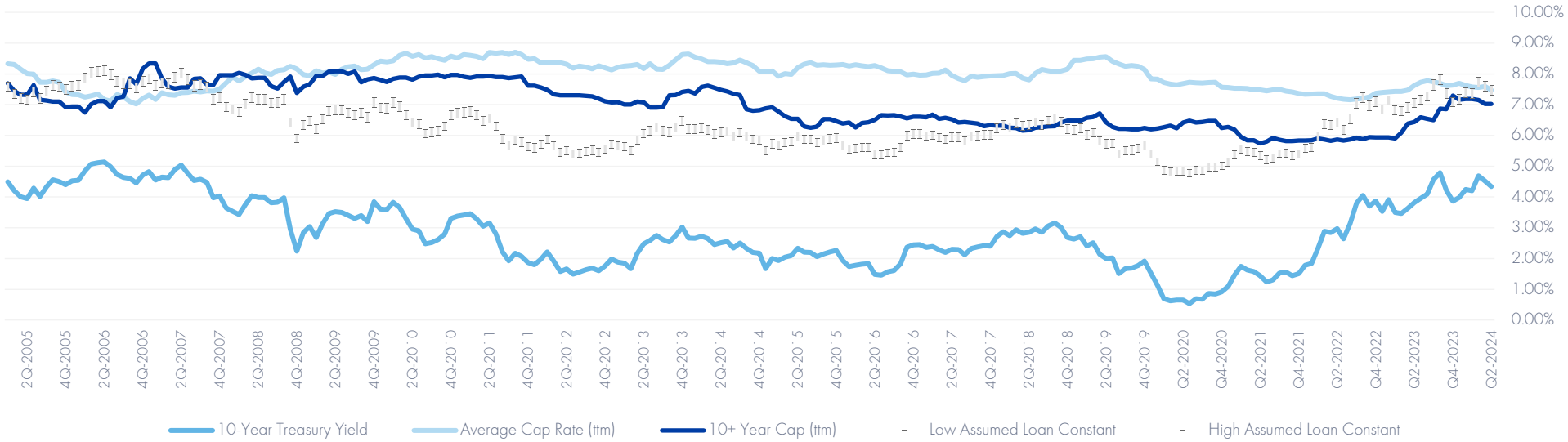
The capitalization rate reflects the market's balance between the supply of government-leased assets available for purchase and the demand from investors. A major driver on the demand side of this equation is the availability and cost of non-recourse or partial-recourse financing mechanisms for prospective buyers. Various types of loans and lenders are available for government-leased acquisitions, with most lenders quoting interest rates indexed to a specific metric, typically the ten-year treasury yield. Thus, the ten-year treasury yield serves as a leading indicator of cap rate movements by directly impacting the demand side of the equation.

The chart below graphically illustrates this impact over time in the government-leased subsector. The sky blue line represents the ten-year treasury yield, while the light blue line shows the average cap rate for all government-leased sales over the previous twelve months. As of the end of the second quarter, the ten-year treasury yield was 4.30%, and the average cap rate for government-leased sales was 7.47%.

The gray band indicates the assumed mortgage or loan constant that the market underwrites for loans maximizing cash flow in the government-leased market. For this analysis, we assumed a thirty-year amortization and a loan spread of 180 to 220 basis points over the ten-year treasury yield. This mortgage constant represents the rate at which the lender is repaid, encompassing both principal and interest, effectively serving as the lender's cap rate.

Positive leverage occurs when the capitalization rate exceeds the mortgage constant, neutral leverage occurs when they are equal, and negative leverage occurs when the capitalization rate is lower than the mortgage constant. As of June 30, 2024, the lower and upper assumed mortgage constants were 7.31% and 7.62%, respectively.

An interesting aspect of this chart is that the assumed mortgage constant has crossed above the average government-leased cap rate only once before the second quarter of 2022. When it did, the trend of cap rate compression in the sector stalled for two to three years as the supply-demand dynamics rebalanced. With the Federal Reserve increasing interest rates earlier in 2022, the mortgage constant has risen and, by mid-2022, surpassed the average government-leased cap rate. This crossover signals a potential shift in cap rates in the sector, which we will continue to monitor closely.



# GOVERNMENT-LEASED INVESTMENT SALES MARKET

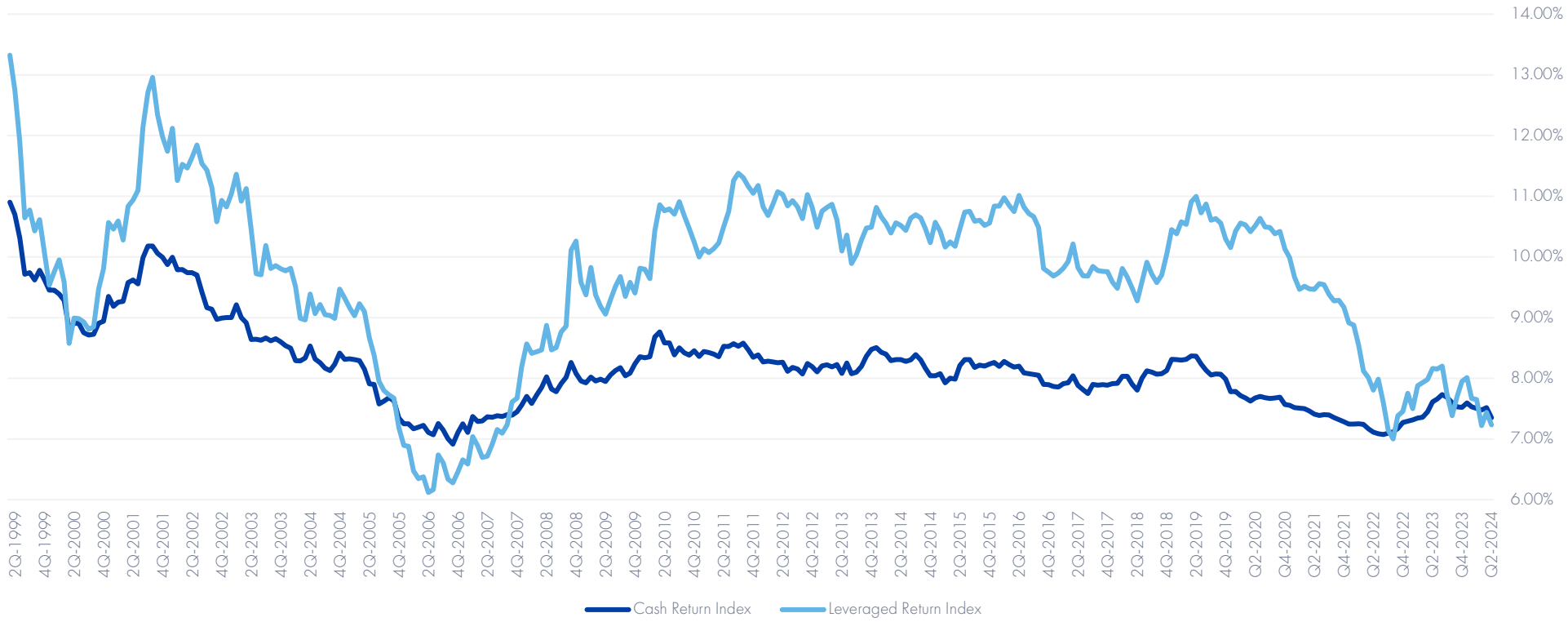
## ANNUALIZED CASH AND LEVERAGED RETURN INDEXES

The cost of capital significantly influences the demand side of the supply-demand equilibrium, impacting cap rates and values in government-leased commercial real estate. Similar to the intent of previous charts, we aim to graphically depict relative valuation levels in net lease properties compared to historical trends and estimate how long it might take for cap rates to stabilize given the recent increase in interest rates.

The chart below presents a cash return index based on the trailing twelve-month average, upper quartile, and lower quartile cap rates for net lease government-leased properties over the past twenty-five years, shown in dark blue. Superimposed on this data is an index representing a range of cash-on-cash returns at a 50% leverage multiple, assuming a thirty-year amortization note with an interest rate spread of 180 to 220 basis points over the ten-year treasury yield. This leveraged return index is depicted in light blue.

As of the second quarter, the cash return index for the government-leased space was 7.33%, down from the long-term average of 8.53%. The leveraged return index was 7.20%, below the long-term average of 10.19%. Currently, we have a negative leverage of 13 basis points, compared to the long-term average of 166 basis points.

To stabilize the government-leased market's expansion trend, we estimate that approximately 153 basis points of cap rate expansion or a reduction in borrowing costs is needed. This adjustment would help align the market with historical leverage norms and support stabilization of cap rates.



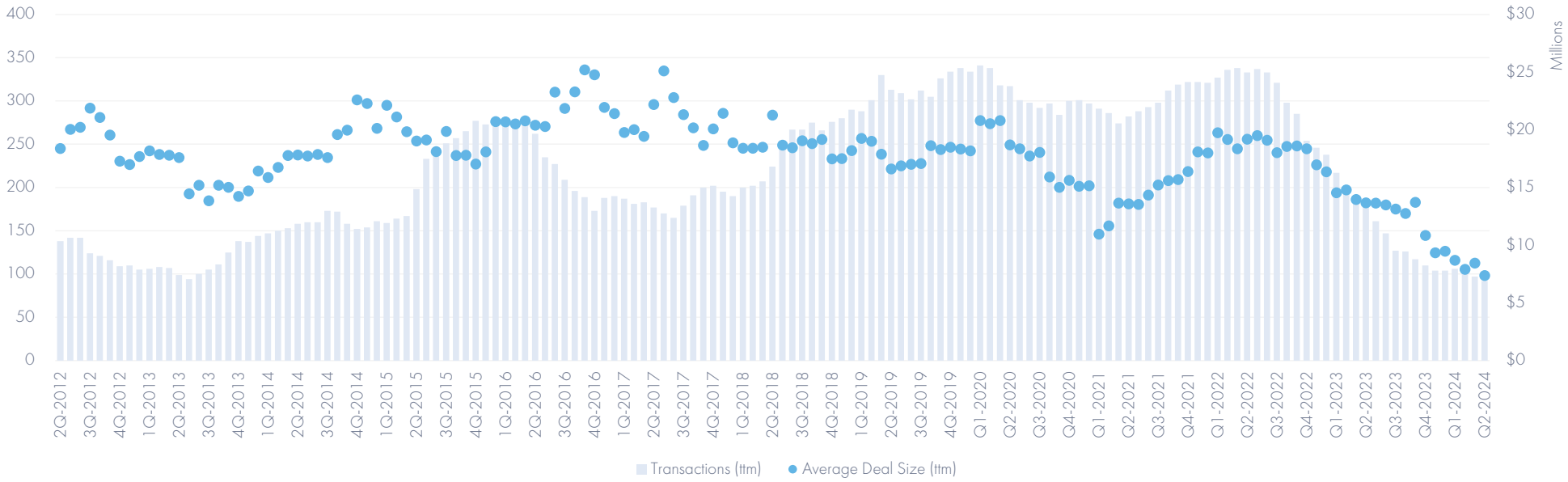
# GOVERNMENT-LEASED INVESTMENT SALES MARKET

## TRANSACTION COUNT & AVERAGE DEAL SIZE

The second quarter concluded with 82 government-leased transactions over the past twelve months (shown in light blue in the chart below). This figure is significantly below the ten-year average of 240 transactions per twelve-month period. The current quarter crossing below the ten-year average marks the first time this has occurred since the third quarter of 2018. Additionally, average deal sizes have been trending downward, which may indicate increased market liquidity or a higher transaction count in the sector. This trend could also reflect a post-pandemic shift, with the government reducing its office footprint.

The second quarter ended with an average deal size of $7.46 million (indicated by the sky blue dot), down from the peak of $25.8 million set in the third quarter of 2016 and below the five-year average of $15.76 million. We anticipate that these trends will persist, with transaction volume likely decreasing due to rising interest rates potentially impacting capitalization rates over the next twelve to eighteen months. This trend is driven by a strong desire among buyers to acquire e-commerce-aligned properties with stable rental income.

However, the pipeline of new build-to-suit projects could introduce additional supply to the market, potentially affecting capitalization rates by altering demand dynamics. Historically, the government-leased market has comprised about 2% to 3.5% of the broader single-tenant office, medical, and industrial investment sales market by transaction count and sales volume. Any changes in supply could be mitigated by increased participation from non-traditional government-leased investors, highlighting the importance of engaging a broker to conduct a full competitive solicitation process.




| | 2Q-2024 | 1Q-2024 | 2Q-2023 | 2Q-2022 | FIVE-YEAR AVG. | TEN-YEAR AVG. | FIFTEEN-YEAR AVG. |
|---|---|---|---|---|---|---|---|
| **Count (ttm)** | 82 | 94 | 174 | 331 | 259 | 240 | 195 |
| **Avg. Deal Size (ttm)** | $7.46M | $9.36M | $13.96M | $19.22M | $15.76M | $17.88M | $18.87M |

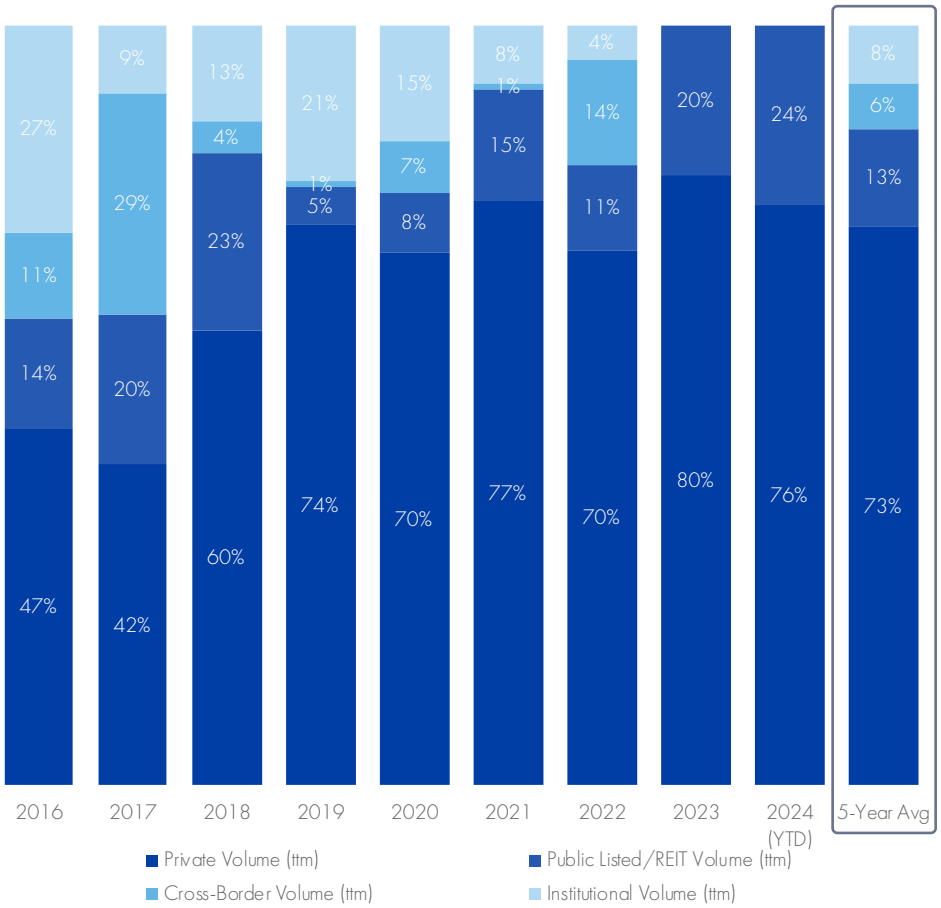
# GOVERNMENT-LEASED INVESTMENT SALES MARKET

## BUYER POOL

Investor demand for quality government-leased properties is at an all-time high, driving intense competition among market participants. Despite recent movements in interest rates, inflation, and the stock market, **the cost of capital remains at or near historic lows for many investors**. This has kept demand robust and continued to push cap rates lower, particularly as single-tenant or net-lease focused REITs have entered the government-leased market, increasing competition. However, private buyers have consistently dominated this space.

**Private capital, which includes individuals, family offices, and small funds, has accounted for approximately 73% of the total buyer pool over the past five years.** Publicly listed entities or REIT-status entities, comprising about 13% of the buyer pool, have also been active players. Cross-border investment, involving foreign-based or major foreign investor capital structures, represents around 6% of the buyer pool, typically focusing on larger deals in major metropolitan areas. Institutional investors, including banks, insurance companies, pension funds, and similar structures, make up about 8% of the buyer pool, also targeting larger transactions in major metros.

This diverse mix of buyers continues to support strong demand for government-leased assets, making it crucial for sellers to engage in competitive solicitation processes to maximize value.

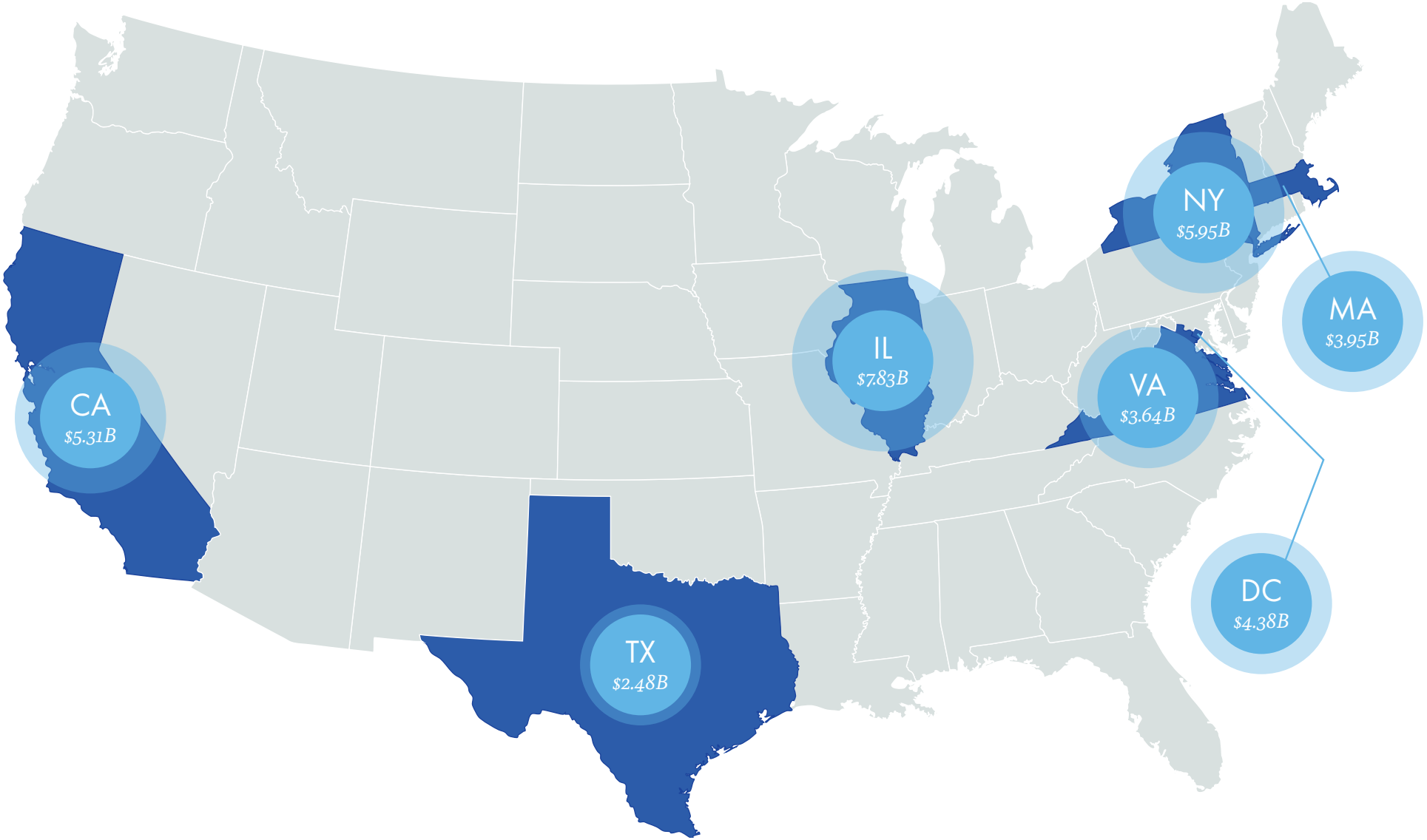



| | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 (YTD) | 5-YEAR AVG |
|---|---|---|---|---|---|---|---|---|
| **Private Volume (ttm)** | $2,482,256,883 | $3,770,843,661 | $2,356,390,405 | $3,456,908,608 | $2,865,662,900 | $815,360,759 | $571,008,909 | $2,013,066,316 |
| **Public Listed/REIT Volume (ttm)** | $962,885,989 | $257,072,113 | $270,135,612 | $662,994,000 | $458,092,700 | $201,577,725 | $177,056,776 | $353,971,363 |
| **Cross-Border Volume (ttm)** | $182,000,000 | $41,950,000 | $224,708,000 | $34,700,000 | $567,556,522 | $0 | $0 | $165,392,904 |
| **Institutional Volume (ttm)** | $520,598,475 | $1,051,575,000 | $514,050,000 | $345,250,000 | $182,871,000 | $0 | $0 | $208,434,200 |
| **Private Count (ttm)** | 195 | 256 | 244 | 272 | 200 | 72 | 59 | 169 |
| **Public Listed/REIT Count (ttm)** | 28 | 13 | 14 | 17 | 10 | 7 | 6 | 11 |
| **Cross-Border Count (ttm)** | 2 | 1 | 2 | 2 | 3 | 0 | 0 | 1 |
| **Institutional Count (ttm)** | 7 | 10 | 3 | 2 | 6 | 0 | 0 | 2 |

# GOVERNMENT-LEASED INVESTMENT SALES MARKET

## SOURCES OF CAPITAL

The below is a graphical depiction of the top sources of capital investing in government-leased assets nationwide over the past fifteen years. Of the $47 billion of government-leased transactions surveyed, investors located in California, Texas, Illinois, Washington DC, Tennessee, New York, Massachusetts, and Virginia acquired nearly 72% of the total invested dollars in the sector.

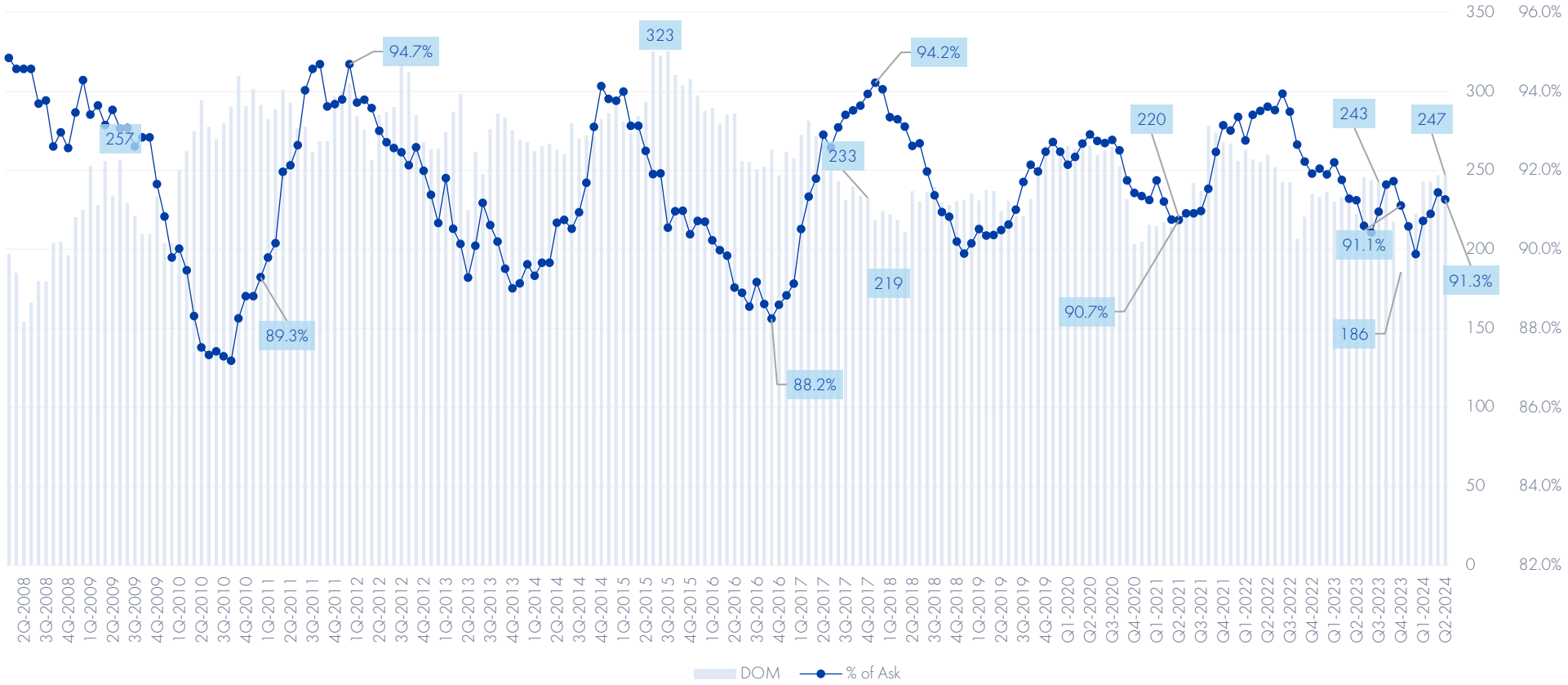


# GOVERNMENT-LEASED INVESTMENT SALES MARKET

## DAYS ON MARKET & PERCENTAGE OF ASK PRICE

The chart below illustrates the average time on market, measured in days, for government-leased properties that were broadly marketed and sold over the past twelve months (shown in light blue). Not all government-leased properties go through the public market; some are sold off-market or before being widely advertised. As of June 30, 2024, the average time on market for government-leased investment sales was 243 days. This duration is about four months longer than the record low of 125 days set on December 31, 2007, and above the long-term average of 226 days. Over the past twelve months, the shortest time on market recorded was 35 days, while the longest was 770 days.

The chart also shows the sales price as a percentage of the asking price achieved for all government-leased properties that were broadly marketed during the same period (depicted in dark blue). Approximately 11.3% of these sales involved a price adjustment at some point during the marketing process. For the twelve months ending June 30, 2024, the average percentage of the asking price achieved was 90.1%, slightly below the long-term average of 92.1%. The range for the percentage of the asking price achieved varied between 77% and 100% over the previous twelve months.

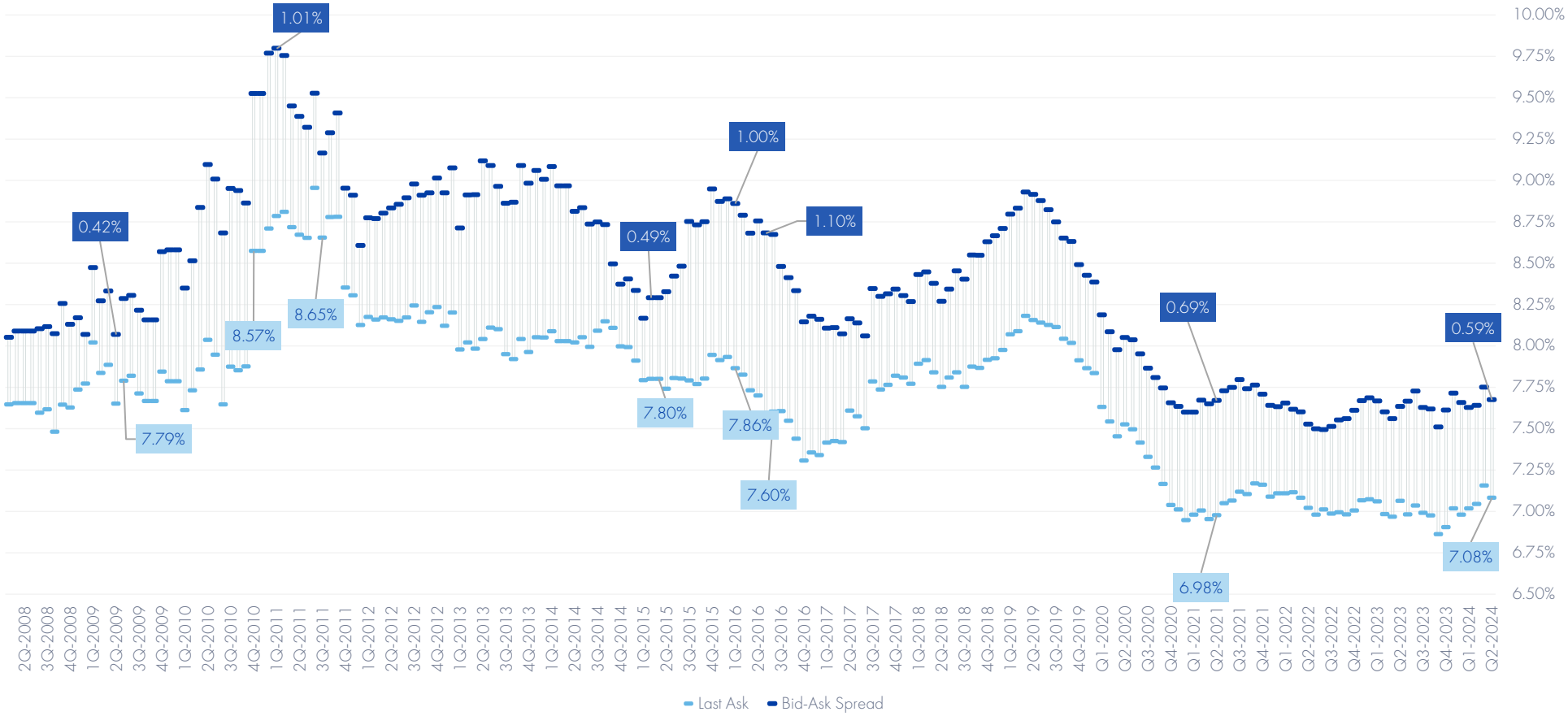


# GOVERNMENT-LEASED INVESTMENT SALES MARKET

## BID-ASK SPREAD

The chart below illustrates trends in asking prices versus sold prices for government-leased properties over time. It features the average asking cap rate for these properties sold over the past twelve months, depicted in sky blue on the lower portion of the high-low bar. As of June 30, 2024, the average asking cap rate was 7.06%, below the long-term average of 7.67%, and approaching the all-time low of 6.77% recorded in the second quarter of 2009. Over the past year, the asking cap rate range for government-leased properties was from 3.38% to 9.96%.

The chart also displays the average bid-ask spread for individual sales of government-leased properties during the same period. This metric represents the difference between the asking and sold cap rates on a per-sale basis, rather than a simple difference between the average asking and sold cap rates. For the twelve months ending June 30, 2024, the average bid-ask spread was 59 basis points, slightly below the long-term average of 65 basis points. This spread has varied significantly over time, with a low of 34 basis points in March 2009 and a high of 166 basis points in March 2011. The bid-ask spread for individual transactions over the past year ranged from 0 to 176 basis points.



# GOVERNMENT-LEASED INVESTMENT SALES MARKET

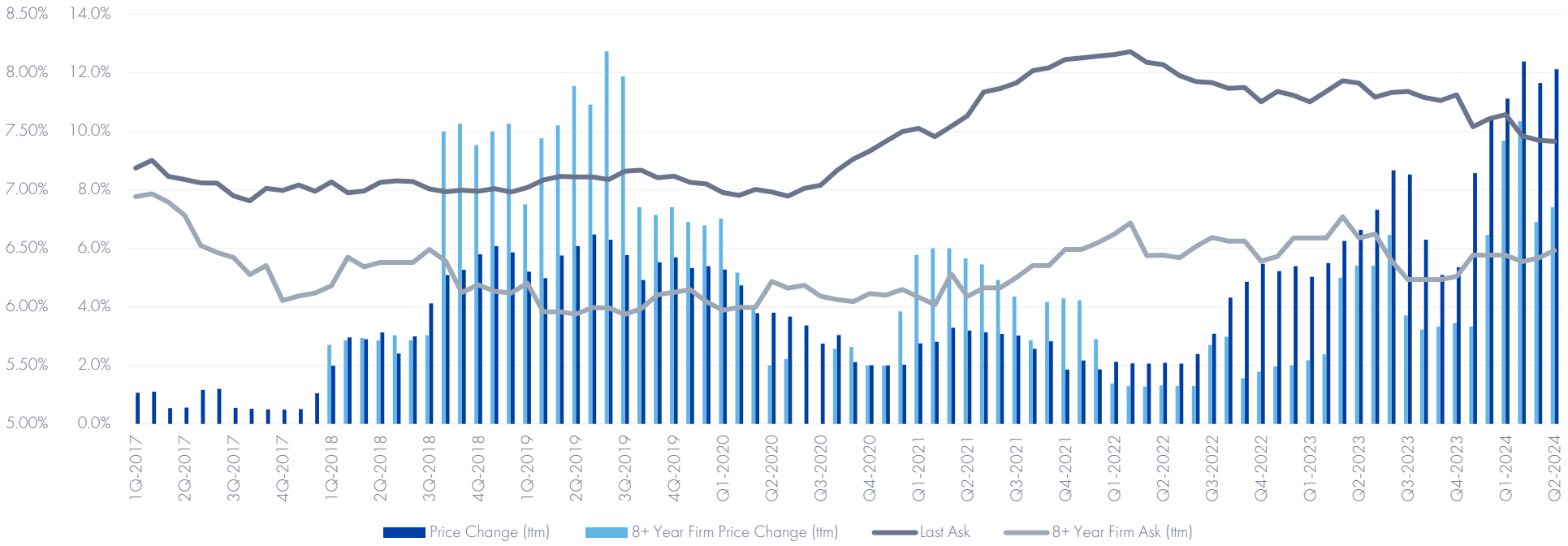
## SUPPLY SIDE: SELLER SENTIMENT AND CONFIDENCE

The chart below aims to measure overall seller sentiment and confidence in the marketplace, focusing specifically on the supply side of the cap rate equation. It tracks the percentage of broadly marketed government-leased deals that experienced a price adjustment before closing. The dark blue bar represents all government-leased deals, while the sky blue bar represents those with eight or more years of firm lease term remaining at the close.

As of June 30, 2024, 12.2% of all government-leased deals had a price adjustment prior to closing, compared to 7.4% for deals with more than eight years of firm lease term remaining. The long-term averages for these figures are 2.0% and 2.2%, respectively. This data suggests that there is currently strong demand for government-leased properties, particularly those with longer lease terms, which tend to be more stable and attractive to investors.

This pattern can be contrasted with the market behavior observed around 2008, when a similar trend in the percentage of deals undergoing price adjustments occurred alongside a stall in capitalization rate compression. Notably, we have not yet seen a similar increase in price adjustments for government-leased deals with long-term leases, despite the recent crossing of the mortgage constant/cap rate threshold. This indicates that there is still robust demand for government-leased products, with buyers willing to pursue deals at financeable asking cap rates.

The dark and light gray lines on the chart show the last asking cap rates for these marketed deals before closing. As of June 30, 2024, the average last asking cap rate for all government-leased deals was 7.06%, while for those with eight or more years of firm lease term remaining, it was 6.94%.



# GOVERNMENT-LEASED NEWS

Click any article below to read the full news story

### EASTERLY GOVERNMENT PROPERTIES SEES SIGNIFICANT GROWTH OPPORTUNITY IN NICHE SECTOR

*March 20, 2024* – One of the benefits of this strategy is that market forces that impact the rest of the commercial real estate market—recessions, soft landings, hard landings—aren't really in play. Because of this, 97% of Easterly's properties remain leased, with a weighted average remaining lease term of about 10.5 years.

Source: https://www.reit.com/news/articles/easterly-government-properties-sees-significant-growth-opportunity-in-niche-sector

### FEDERAL GOVERNMENT'S REAL ESTATE PORTFOLIO COULD FACE MAJOR CUTS UNDER NEW BUDGET PROPOSAL

*March 13, 2024* – The federal government's vast real estate holdings could face some major changes under a new budget proposal that looks to slash millions of square feet of commercial space. The General Services Administration, the overseer and manager of space on the government's behalf, is looking to scale back the amount of space it leases for federal tenants to 168 million square feet by next year, a sizable drop from the 173 million square feet it rented by year-end 2023.

Source: https://product.costar.com/home/news/8555741

### US POSTAL SERVICE OPENS NEW BREED OF MAIL PROCESSING FACILITIES

*November 28, 2023* – The processing center is one of an estimated 60 new facilities the Postal Service plans to open over the next decade. The agency intends to deploy a combination of owning and leasing industrial properties as part of its system overhaul. Some leased properties will require extensive capital improvements, according to federal regulators. The Postal Service is also likely to repurpose some of its existing properties to the new format.

Source: https://product.costar.com/home/news/2030881595?tag=18

### MARYLAND, VIRGINIA COMPETE FOR $4B FBI HEADQUARTERS

*March 22, 2023* – The General Services Administration has begun lining up the funding for one of the federal government's biggest development projects—a new headquarters for the Federal Bureau of Investigation.

Source: https://www.globest.com/2023/03/22/maryland-virginia-compete-for-4b-fbi-headquarters/

### GOLDMAN SACHS QUANTIFIES THE PAIN EXPECTED FROM TIGHTER BANK LENDING

*March 27, 2023* – With the US banking system in a state of unease, there is one certainty the commercial real estate market can count on: lending to the community will tighten even further.

Source: https://www.globest.com/2023/03/27/goldman-sachs-quantifies-the-pain-expected-from-tighter-bank-lending/

# GOVERNMENT-LEASED NEWS

Click any article below to read the full news story

### HOUSE PASSES BILL REQUIRING FEDERAL WORKERS TO RETURN TO THEIR OFFICES

*February 3, 2023* – The U.S. House of Representatives has passed a bill requiring federal government employees return to in-person work, in a vote led almost entirely by Republican officials.

Source: https://www.bisnow.com/national/news/office/house-passes-bill-requiring-federal-workers-to-return-to-in-person-work-11751

### GAO: MANY AGENCIES PLAN TO SHRINK OFFICE FOOTPRINT

*September 9, 2022* – A Government Accountability Office survey has found that all but five expect to reduce their footprint.

Source: https://www.bizjournals.com/washington/news/2022/09/09/gao-asks-gsa-for-details-on-federal-real-estate.html

### CALIFORNIA GOVERNMENT, ONE OF THE STATE'S BIGGEST TENANTS, TO FURTHER SHRINK OFFICE SPACE

*March 2, 2023* – One of the biggest office users in California, the state government, wants to further shrink its leased real estate portfolio in a move that could deal a further blow to the workspace property market.

Source: https://product.costar.com/home/news/1791257544?tag=18

### GRIFFIN REALTY'S $1.1B OFFICE DEAL GIVES SECTOR MUCH-NEEDED BOOST

*August 30, 2022* – Two different stories this week meet together for some good news on the office front. Griffin Realty Trust sold a majority interest in a 41-property, 53-building office portfolio at a $1.13 billion valuation, according to a company press release.

Source: https://www.globest.com/2022/08/30/griffin-realtys-1-1b-office-deal-gives-sector-much-needed-boost/

### AMERICA'S OFFICE GLUT STARTED DECADES BEFORE PANDEMIC

*August 23, 2022* – Federal tax breaks dating to the Reagan years, and low interest rates, spurred developers to build too many office towers.

Source: https://www.wsj.com/articles/americas-office-glut-started-decades-before-pandemic-11661210031

### GSA RELEASES FIVE-YEAR STRATEGIC PLAN

*March 31, 2022* – The GSA released its five-year strategic plan, outlining the agency's top priorities and key initiatives. GSA's mission is to deliver the best customer experience and value in real estate, acquisition, and technology services to the government and the American people.

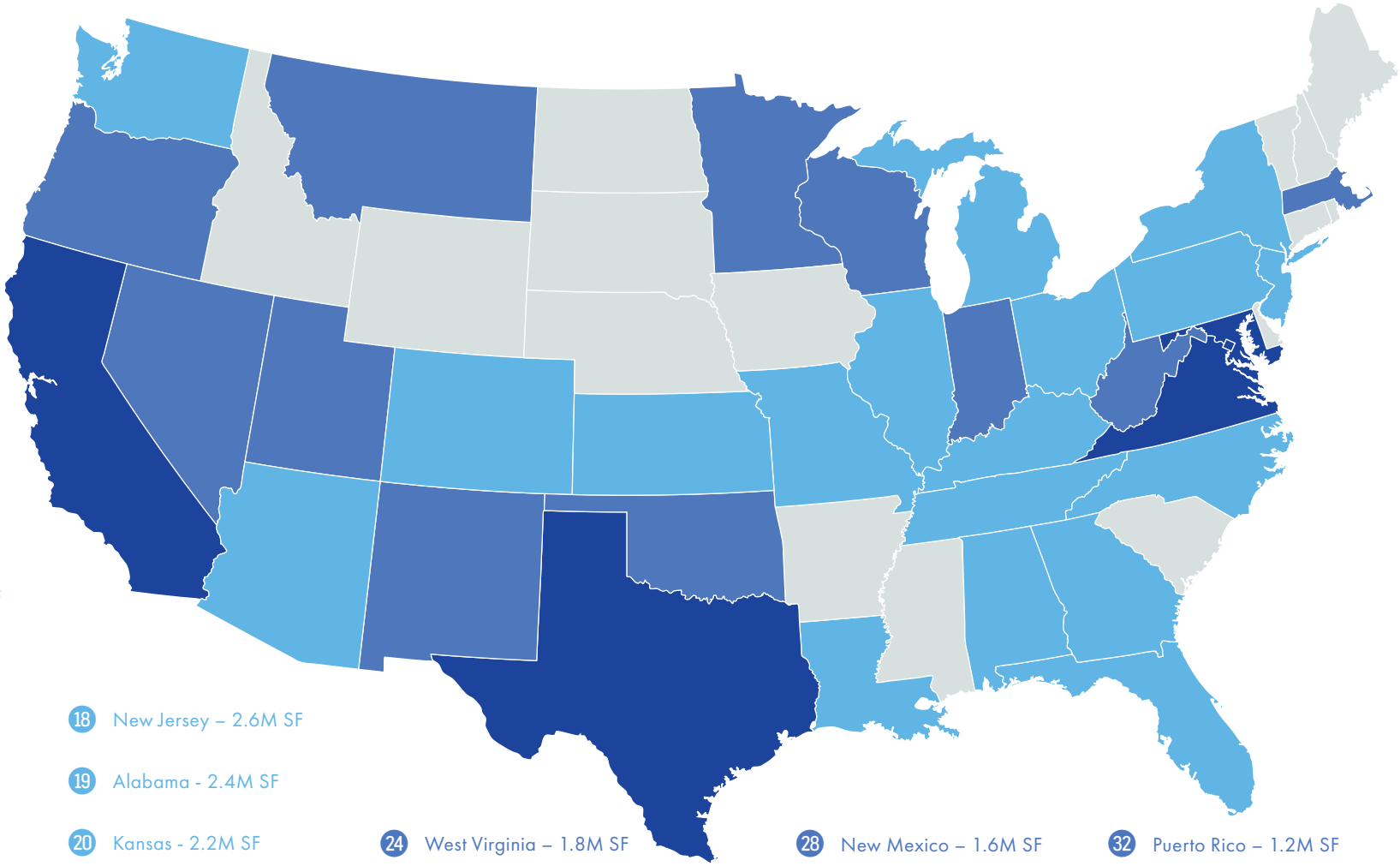
Source: https://www.gsa.gov/about-us/newsroom/news-releases/gsa-releases-fiveyear-strategic-plan-03312022

*Section Two*

# LEASING TRENDS

# LEASED INVENTORY

The below is a graphical depiction of the concentration, by state, of the single-tenant leased footprint of the GSA nationwide.



1. Virginia – 22.2M SF
2. D.C. – 17.7M SF
3. Maryland – 15.4M SF
4. California – 12.4M SF
5. Texas – 11.7M SF
6. Missouri – 9.2M SF
7. Florida – 7.0M SF
8. Georgia – 6.5M SF
9. New York – 6.2M SF
10. Pennsylvania – 5.6M SF
11. Colorado – 4.8M SF
12. Washington – 4.0M SF
13. Illinois – 3.9M SF
14. Ohio – 3.2M SF
15. North Carolina – 3.1M SF
16. Arizona – 2.8M SF
17. Michigan – 2.6M SF
18. New Jersey – 2.6M SF
19. Alabama - 2.4M SF
20. Kansas - 2.2M SF
21. Louisiana – 2.0M SF
22. Tennessee – 2.0M SF
23. Kentucky – 2.0M SF
24. West Virginia – 1.8M SF
25. Massachusetts – 1.8M SF
26. Oklahoma – 1.8M SF
27. Utah – 1.7M SF
28. New Mexico – 1.6M SF
29. Oregon – 1.5M SF
30. Indiana – 1.4M SF
31. Minnesota – 1.4M SF
32. Puerto Rico – 1.2M SF
33. Wisconsin – 1.2M SF
34. Montana –1.1M SF
35. Nevada – 1.1M SF

# LEASING SUMMARY

Shifting dynamics in the need for and use of space for real estate users and occupants are also shifting trends for demand in the capital markets and investment sales side. Changing demographics and consumer spending patterns are driving differing distribution channels and technological advancements are increasing efficiencies for workers, allowing for remote collaboration and a reduction in the average office footprint per employee. Buyers are placing a priority on investing in buildings, tenants and industries that are in a perceived net-positive position as it pertains to these trends. In industrial, e-commerce driven credits are highly desirable. In office, mission-critical or strategic locations are highly sought after.

A leasing model allows the GSA the flexibility to accommodate each federal agency's needs by accounting for both the scope and urgency of its respective space requirements. Although the GSA typically utilizes a uniform lease agreement, the build-out and building security requirements for each tenant vary according to that agency's specific mission and hierarchy of the property within the agency. In many cases, existing U.S. Government-owned properties cannot accommodate tenant needs, and the upfront cost and complexity of constructing a new U.S. Government-owned building can be prohibitive. The average age of the U.S. Government-owned properties is 47 years. As a result, the GSA's reliance on privately owned office space has escalated in recent years. This is due in part to the fact that the full cost of each construction project must be recognized in a single fiscal year budget, whereas a newly leased building only requires recognition of annual payments in the applicable agency's annual budget.

Budgetary concerns and fiscal responsibility with the federal budget has also led to some strategic initiatives aimed at freezing and reducing the government's footprint. As a result, certain agencies and operations are becoming more and more desirable for investors in the credit tenant investment world while others are becoming more and more of a challenge. The tables above depict current trends regarding new leases.

## NEW LEASES

| CATEGORY | CURRENT QUARTER | TTM | LAST FIVE YEARS |
|---|---|---|---|
| **No. of New Leases** | 92 | 495 | 3,105 |
| **Monthly Avg.** | 31 | 41 | 52 |
| **LSF Total** | 1,958,010 | 9,426,571 | 51,554,079 |
| **Monthly Avg.** | 652,670 | 785,548 | 859,235 |
| **Avg. Size** | 21,283 | 19,044 | 16,604 |
| **Total Rent** | $58,706,628 | $229,846,459 | $1,691,596,135 |
| **Monthly Avg.** | $19,568,876 | $19,153,872 | $28,193,269 |
| **Avg. Annual Rent** | $638,116 | $464,336 | $544,797 |
| **Avg. Rent per SF** | $29.98 | $24.38 | $32.81 |

## MOST COMMON LEASE STRUCTURES

| TERMS | TTM | % OF TOTAL | LAST FIVE YEARS | % OF TOTAL |
|---|---|---|---|---|
| **10, 5** | 123 | 25% | 586 | 19% |
| **15, 10** | 81 | 16% | 624 | 20% |
| **10, 10** | 28 | 6% | 170 | 5% |
| **20, 15** | 25 | 5% | 130 | 4% |
| **20, 10** | 10 | 2% | 60 | 2% |
| **Others** | 228 | 46% | 1,535 | 49% |
| **Total** | 495 | 100% | 3,105 | 100% |

# LEASE RENEWAL RATE

Investors often favor government-leased properties because tenants, especially in first-generation build-to-suit projects, tend to stay beyond the initial lease term. The chart below illustrates the renewal rate for General Services Administration (GSA) leases expiring in the past twelve months, alongside a moving trend over the previous ten years.

The light blue bar represents the number of GSA leases that were first-generation lease commencements during the trailing twelve months, which stood at 89 as of the second quarter of 2024. This figure is below the five-year average of 128 but is consistent with the trailing twelve-month figure from the previous quarter.

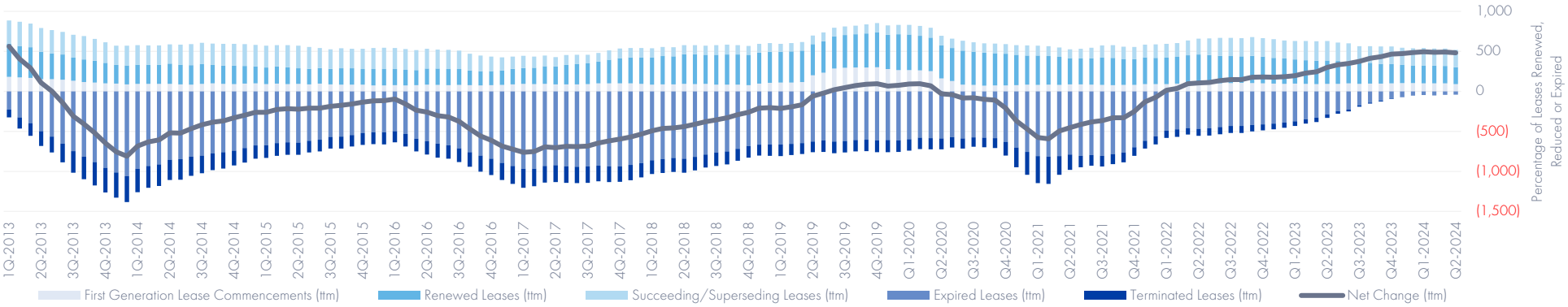
The middle blue bar shows the number of GSA leases that expired and were not renewed during the same period, totaling 35 as of Q2 2024. This number is significantly lower than the five-year average of 486 lease expirations and down from the prior quarter's 43 lease expirations.

The dark blue bar indicates the number of leases terminated before the lease expiration, which was 3 as of the second quarter of 2024. This figure matches the previous quarter and is well below the five-year average of 107.

The sky blue bar depicts the number of GSA leases renewed during the trailing twelve months, with 198 renewals as of the second quarter of 2024. This is below the five-year average of 340 renewals.

The light sky blue bar represents the number of GSA leases that succeeded or superseded prior leases, totaling 208 as of the second quarter of 2024. This number exceeds the five-year average of 168.

Many in the industry report these lease expirations as a portion of the total inventory, leading to a 97% to 98% retention rate. However, the retention rate is more accurately calculated as a portion of leases actually up for renewal—406 out of 444 possible expirations—resulting in approximately a 91% retention rate or a 9% expiration rate. The gray line on the chart linearly depicts the net change in total inventory over time.




| | 2Q-2024 | 1Q-2024 | 2Q-2023 | 2Q-2022 | FIVE-YEAR AVG. |
|---|---|---|---|---|---|
| **First Generation Lease Commencements (ttm)** | 89 | 102 | 94 | 104 | 128 |
| **Renewed Leases (ttm)** | 198 | 222 | 293 | 357 | 340 |
| **Succeeding/Superseding Leases (ttm)** | 208 | 214 | 243 | 199 | 168 |
| **Expired Leases (ttm)** | 35 | 43 | 289 | 467 | 486 |
| **Terminated Leases (ttm)** | 3 | 3 | 41 | 88 | 107 |
| **Total Current Leases (ttm)** | 6,015 | 6,044 | 6,070 | 6,123 | 6,336 |
| **Leases Outside Firm (ttm)** | 2,158 | 2,160 | 2,264 | 2,408 | 2,545 |
| **Net Change (ttm)** | 457 | 492 | 300 | 105 | 42 |

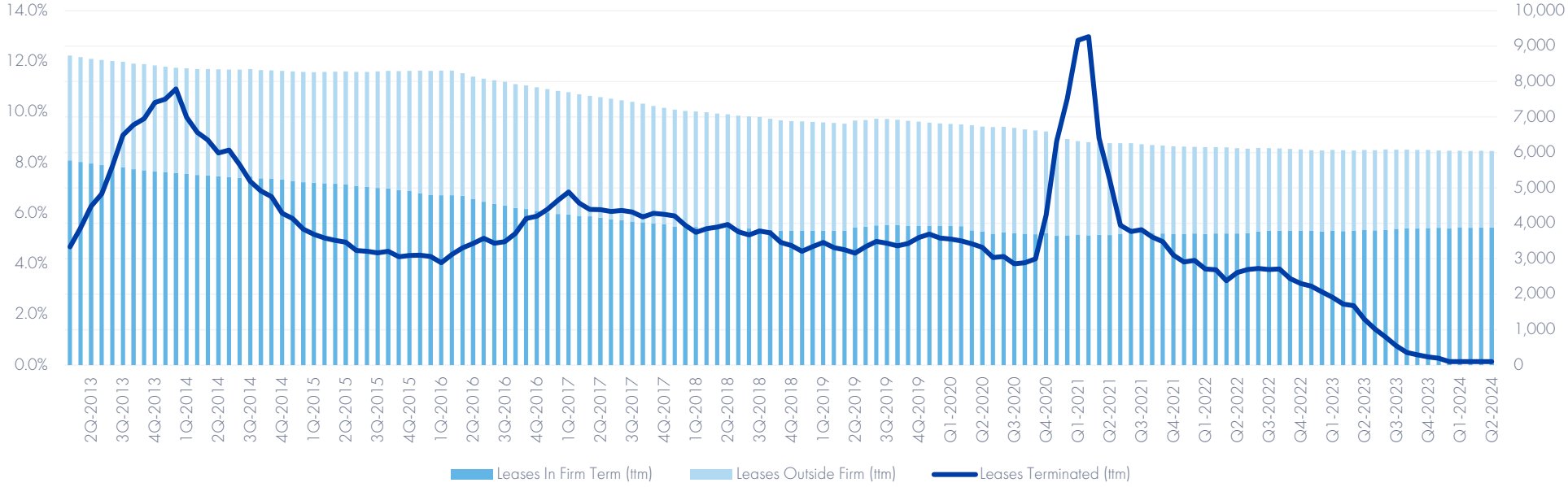
# LEASE TERMINATION RATE

Investors often favor government-leased properties because tenants are unlikely to exercise termination rights under the lease during the primary or renewal terms. This is particularly true for first-generation build-to-suit projects during the initial lease term. The chart below depicts the termination rate for all GSA leases with termination options exercised before the lease expiration during the non-firm lease term, shown as a moving trend over the past five years on a quarterly basis.

The light blue column represents the total number of GSA leases in non-firm term periods over the previous twelve months, ending at the quarter shown on the x-axis. As of the second quarter, there were 2,158 leases in the non-firm term during the past twelve months, below the five-year average of 2,545.

The sky blue column shows the total number of GSA leases in the firm term period over the same timeframe. As of the second quarter, there were 3,857 leases in the firm term during the past twelve months, slightly above the five-year average of 3,791.

The dark blue line indicates the total number of leases terminated during non-firm terms as a percentage of total leases in the non-firm term over the previous twelve months. As of the second quarter, 3 leases were terminated during the non-firm lease term, representing a termination rate of 0.1%, significantly lower than the five-year average of 4.0% with 103 lease terminations.




| | 2Q-2024 | 1Q-2024 | 2Q-2023 | 2Q-2022 | FIVE-YEAR AVG. |
|---|---|---|---|---|---|
| **Leases In Firm Term (ttm)** | 3,857 | 3,884 | 3,806 | 3,715 | 3,791 |
| **Leases Outside Firm Term (ttm)** | 2,158 | 2,160 | 2,264 | 2,408 | 2,545 |
| **Leases Terminated (ttm)** | 0.1% | 0.1% | 1.8% | 3.7% | 4.0% |

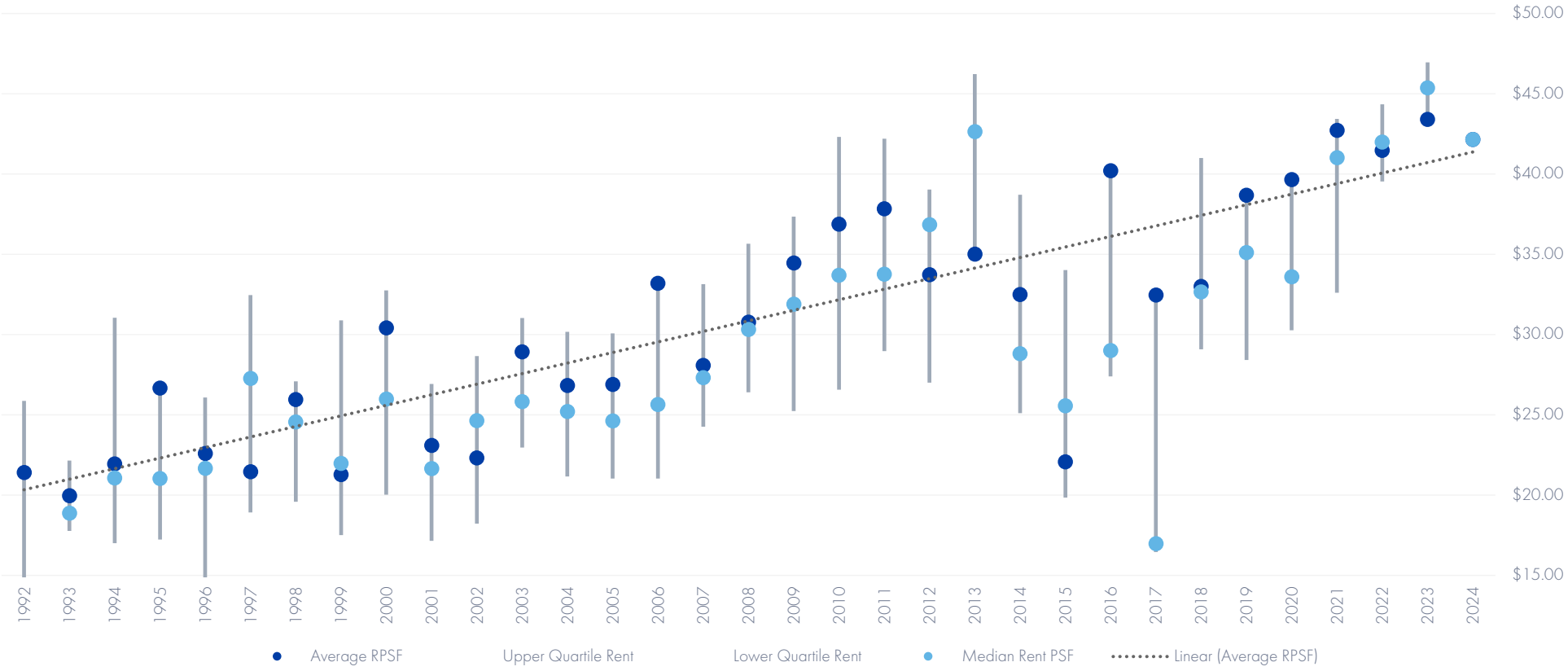
# RENT BY YEAR BUILT

The chart below provides a graphical illustration of the initial gross rent per square foot for all federal leases at the time of rent commencement, categorized by the year the building was constructed. Most of these buildings are new build-to-suit projects, although some include extensive renovation or retrofit-to-suit work. This page aims to highlight the impact of rising construction costs on current federal rental rates, particularly as many agencies evaluate the cost-benefit of renewing leases versus constructing new buildings for older properties.

The chart shows an average gross rent per square foot at lease commencement, depicted by the blue dot, for all federal leases constructed in the year indicated. The sky blue dot represents the median gross rent per square foot for the same period, while the light gray band indicates the range from the lower to upper quartile.

For the year 2021, the average gross rent per square foot was $42.69, with a median of $41.14 per square foot, a lower quartile of $37.33 per square foot, and an upper quartile of $44.04 per square foot.

As construction costs, interest rates, costs of capital, and inflation continue to rise, it will be important to monitor how these factors influence rental costs for the federal government. Incumbent landlords, those already leasing properties to the government, may have a competitive advantage in offering space that meets federal requirements, which could translate into quantifiable value in the investment sales market.

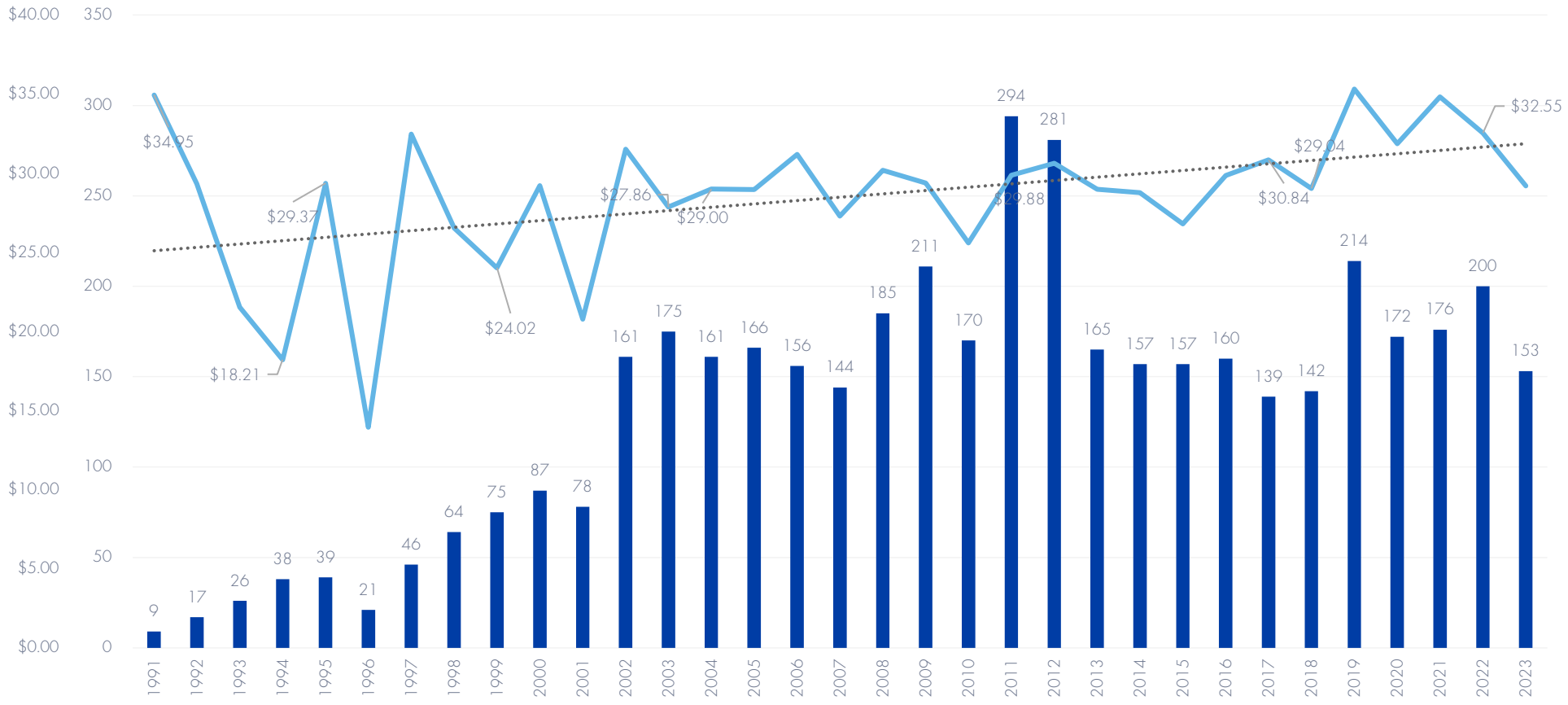


# CASE FOR RENEWAL

The chart provided should be read in conjunction with the build-to-suit rent chart on the previous page. This chart aims to graphically illustrate all federal leases by their commencement year. The blue bars indicate the number of single-tenant federal lease commencements in each calendar year, while the green line shows the average annual rent per square foot for those leases.

This chart excludes build-to-suit or retrofit-to-suit leases, which are covered on the previous page. Notably, the data reveals that it is ± $10 per square foot more expensive on average for the federal government to enter into a build-to-suit or retrofit-to-suit lease compared to renewing an existing lease, representing about a 32% cost increase.

Several dynamic factors contribute to this cost difference, including construction and renovation costs, market conditions, and specific lease requirements. However, at a high level, incumbent landlords—those currently leasing properties to the government—are likely to be well-positioned to benefit from lease renewals, especially given the current economic environment characterized by rising costs of capital and inflation. This positioning suggests that renewals may be a more attractive and cost-effective option for the federal government compared to new build-to-suit or retrofit-to-suit projects.



# RENEWAL RENT GROWTH & INFLATION

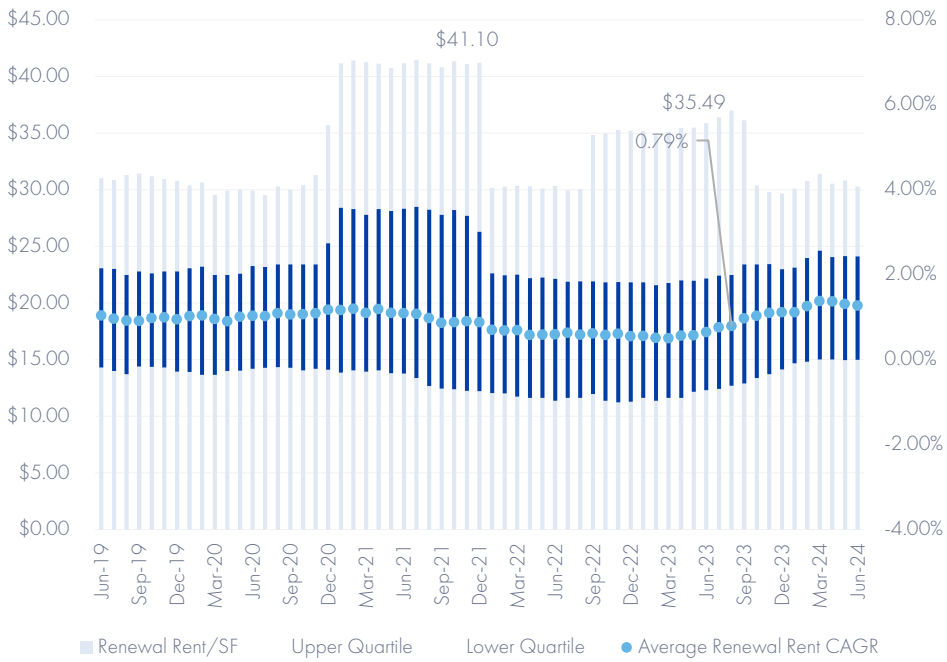
The analysis focuses on understanding how government leases are renewed compared to their prior lease rates, tracking these changes over time to provide a clearer picture of lease rate dynamics. The first chart illustrates the average compound annual growth rate (CAGR) for all renewed GSA leases during the past twelve months. This metric only includes the CAGR for leases that were renewed, comparing the new lease rate to the previous rate in place at the same building before renewal. Given that most government leases are flat and do not include base rent increases, this analysis also considers the time elapsed between the initial lease commencement and the renewal rent.

In the first chart, the trailing twelve-month average CAGR is depicted using light blue dots, while the dark blue line on the right chart represents the same data over time. The first chart also models the upper and lower quartiles of CAGR, illustrated by the markers at the top and bottom of the dark blue vertical line.

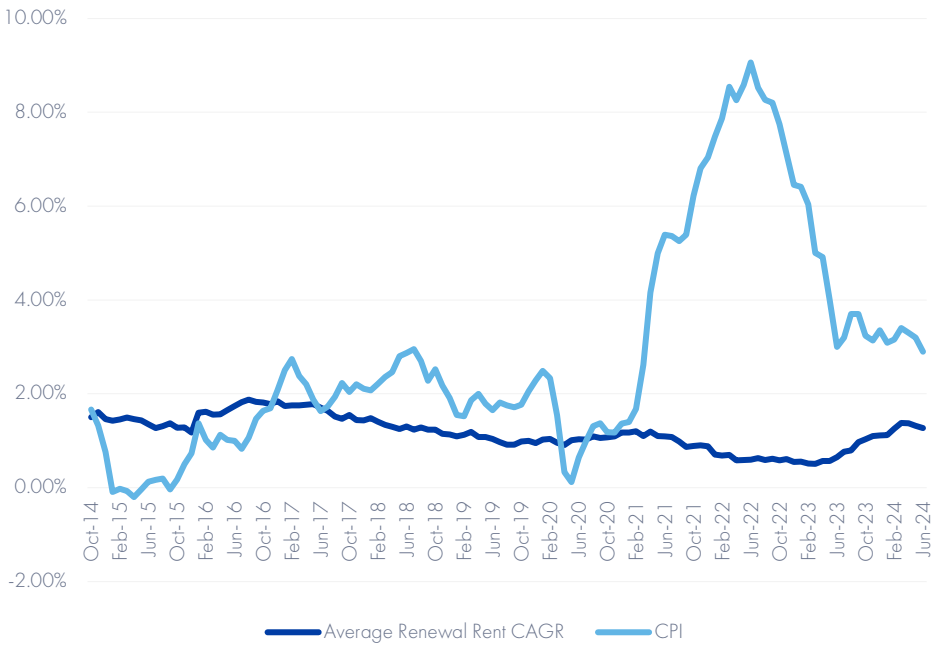
Additionally, the first chart shows the average gross rent per square foot for all renewed government leases during the trailing twelve months. Despite a common objection that government leases do not include an inflation hedge due to a lack of built-in rental increases, historical data suggests that these leases often renew at rental levels that would be comparable to market rates had there been annualized inflation adjustments. The second chart below models this relationship, providing a comparative view against recent inflation trends.

This comprehensive analysis helps in understanding the nuanced behavior of government lease renewals, especially in the context of recent market conditions characterized by inflation and economic fluctuations.

**RENEWAL RENT AND ITS GROWTH RATE OVER TIME**



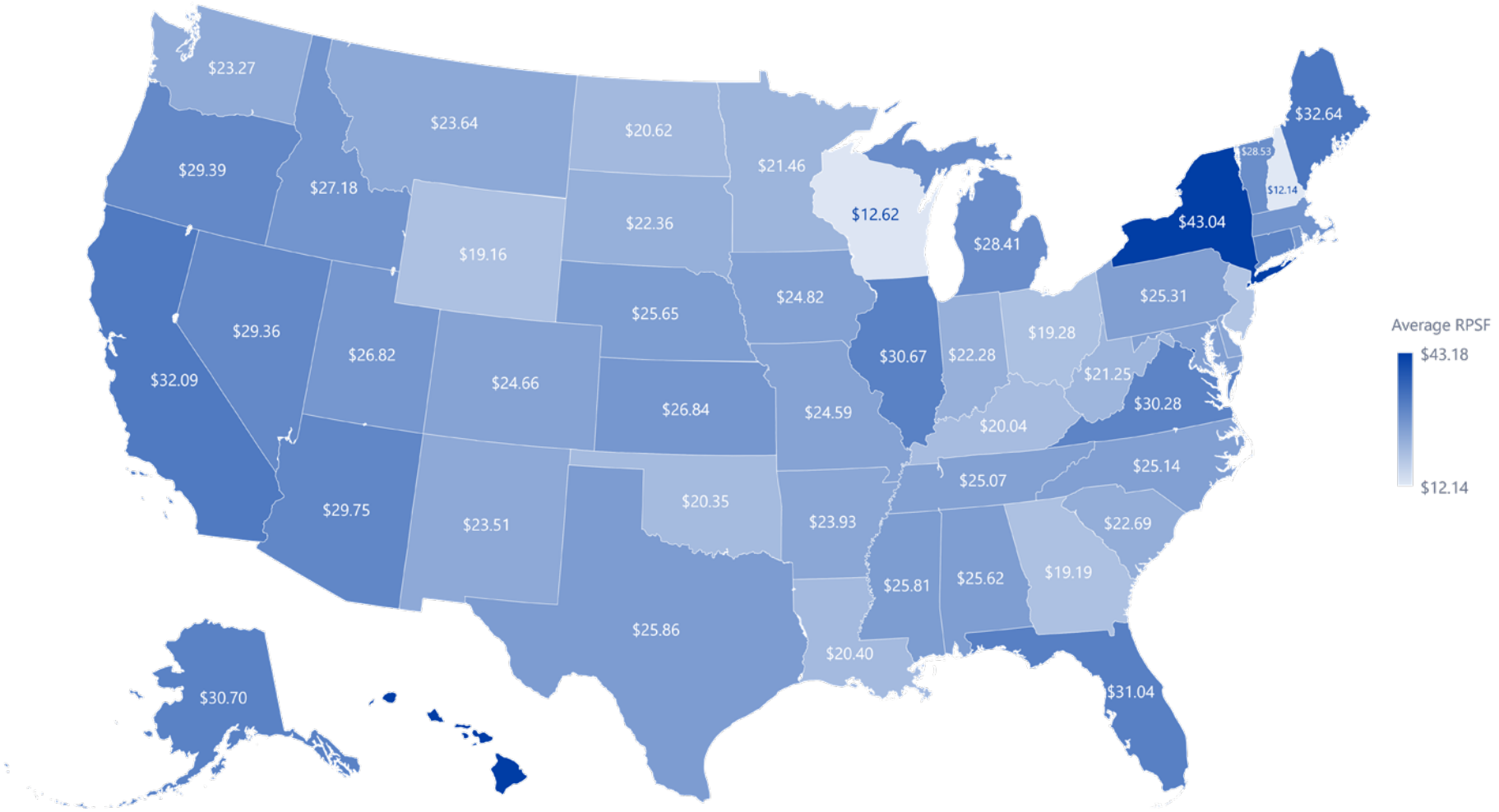

**CPI VS GSA RENEWAL RENT CAGR**



# RENT HEAT MAP

To continue our analysis, the next step involves examining the impact of demographics and location on the cost of space in federal lease agreements. As discussed in prior pages, the third leg of the stool in investment sales valuations is the underlying residual value of the real estate. This value isn't solely determined by the physical attributes of the property, though those are significant factors. It also includes the relationship between the contractual rental rates and the prevailing market rates for similar spaces in that area.

The map below provides a graphical depiction of the current average rent per square foot for all federal lease inventory across different states. This visualization helps to illustrate how demographic factors and location-specific attributes contribute to variations in rental costs. By understanding these dynamics, investors and stakeholders can gain deeper insights into how location and market conditions influence the valuation and attractiveness of government-leased properties.



*Section Three*

# ABOUT NORTHMARQ

# YIELDING RESULTS

The principal catalyst in Northmarq's Commercial Investment Sales' (CIS) success over its competitors is the combination of our platform and our concentrated focus on net lease. These two differentiators allow our team to realize extra value for our Sellers by leveraging our position as the **bridge between private and institutional capital** in our sales process.

### COLLABORATION

Northmarq CIS operates on an open, collaborative platform in which we share information and one database among all the firm's brokers. By leveraging our collective knowledge and strengths, we are able to maximize value and exposure for our clients – a thorough and complete representation of the market, unmatched by our competitors.

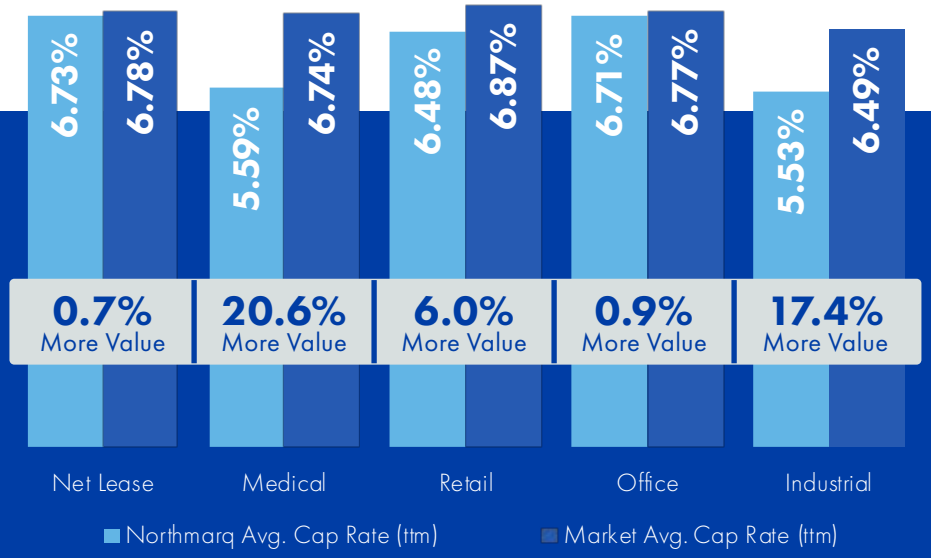
### SPECIALIZATION

Northmarq Commercial Investment Sales focuses on net lease sales and maintains the largest team of focused net lease brokers in the country. As a result, Northmarq is viewed as the preeminent source of net lease knowledge and properties by buyers, fellow brokers and influencers across the country.

*Northmarq's Commercial Investment Sales consistently monitors all net lease investor activity through a proprietary central database system—including advanced analytics such as website downloads and visits—shared by all Northmarq professionals. Our national network of professionals track and share the activity of all active investors historically, in the market and those considering a net lease investment including buyers, sellers, REITs, institutions, private equity, foreign capital, lenders, tax deferred investors (1031, 1033), high net worth private investors, and family offices.*

### AVERAGE CAP RATE | NORTHMARQ VS. OTHER BROKERS

Our track record demonstrates that our process produces superior results. The data below depicts the results our approach yields and solidifies our status at the peak of net lease investment sales. Our competition may know the top fifty or so repeat buyers and owners of net lease assets nationwide but our platform allows a reach beyond the known owners and active investors. Over the past twelve months, Northmarq brokered the sale of over $4.74 billion of net lease properties nationwide – approximately ***$2.06 billion (or 43%) of these sales were acquired by a tax-deferred exchange investor.***




*Q4 2023 Results as Reported by Real Capital Analytics

# VALUE PROPOSITION RESULTS

## GOVERNMENT-LEASED INVESTMENT SALES

The result speaks for itself. The below is a graphical depiction of the average capitalization rate for all brokered government-leased transactions sold over the previous twelve months. The sky blue line represents the average capitalization rate on government-leased sales brokered by Northmarq. As of June 30, 2024, Northmarq brokered sales averaged a 6.78% capitalization rate. The gray line represents the average capitalization rate on government-leased sales brokered by all other brokers and all other transactions over that same time eriod. As of June 30, 2024, non-Northmarq brokered sales average a 7.35% capitalization rate. In other words, Northmarq's proprietary sales process and marketing approach yielded the average government-leased Seller $1,382,664 in additional proceeds or 8.4% more value over the past twelve months.

**AVERAGE GOVERNMENT-LEASED NOI**

$1,382,664

**AVERAGE GOVERNMENT CAP RATE (TTM)**

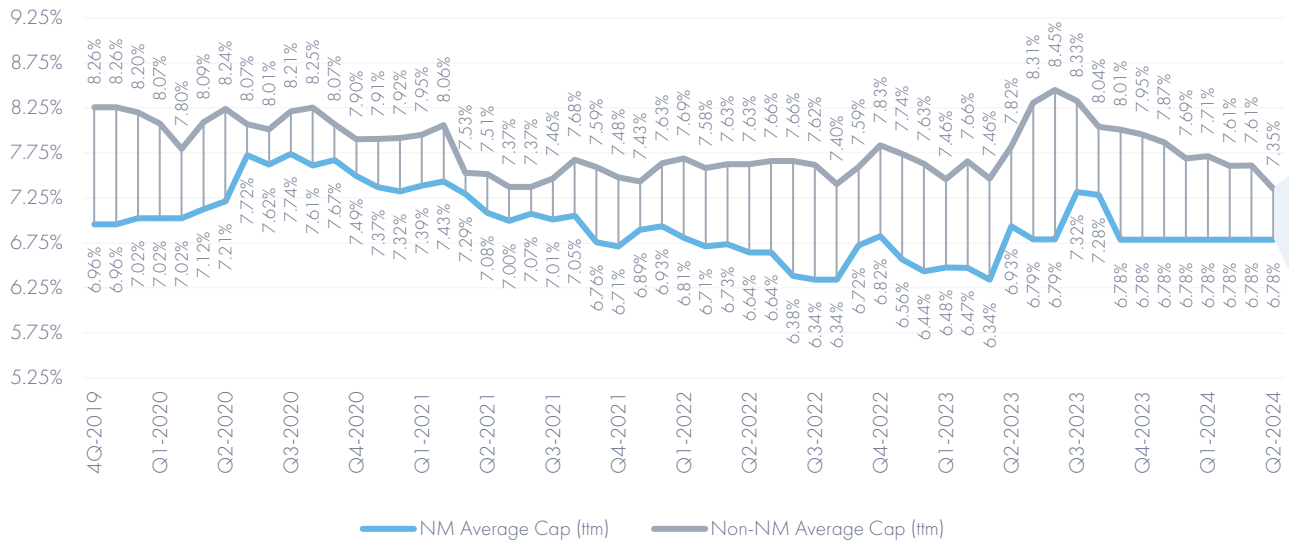
6.78%
*Northmarq*

7.35%
*Non-Northmarq*

**AVERAGE GOVERNMENT SALES PRICE**

$20,380,304
*Northmarq*

$18,809,651
*Non-Northmarq*




8.4%
*Additional Value Realized by Northmarq*

$1,382,664
*Additional Proceeds Realized by Northmarq*

# NORTHMARQ COMMERCIAL INVESTMENT SALES

## BUYER DISTRIBUTION

Northmarq is regularly identifying new buyers, particularly in 1031 trades, from all over the U.S. Our brokers represent many private investors, with access to the nation's largest buyer pool and source of 1031 exchange buyers in California.

### NORTHMARQ'S TARGETED BUYER REACH

**40** TOTAL STATES
Sourced and represented buyers across the US

**5** TOP MARKETS
Buyers in these states comprised 52% of the total

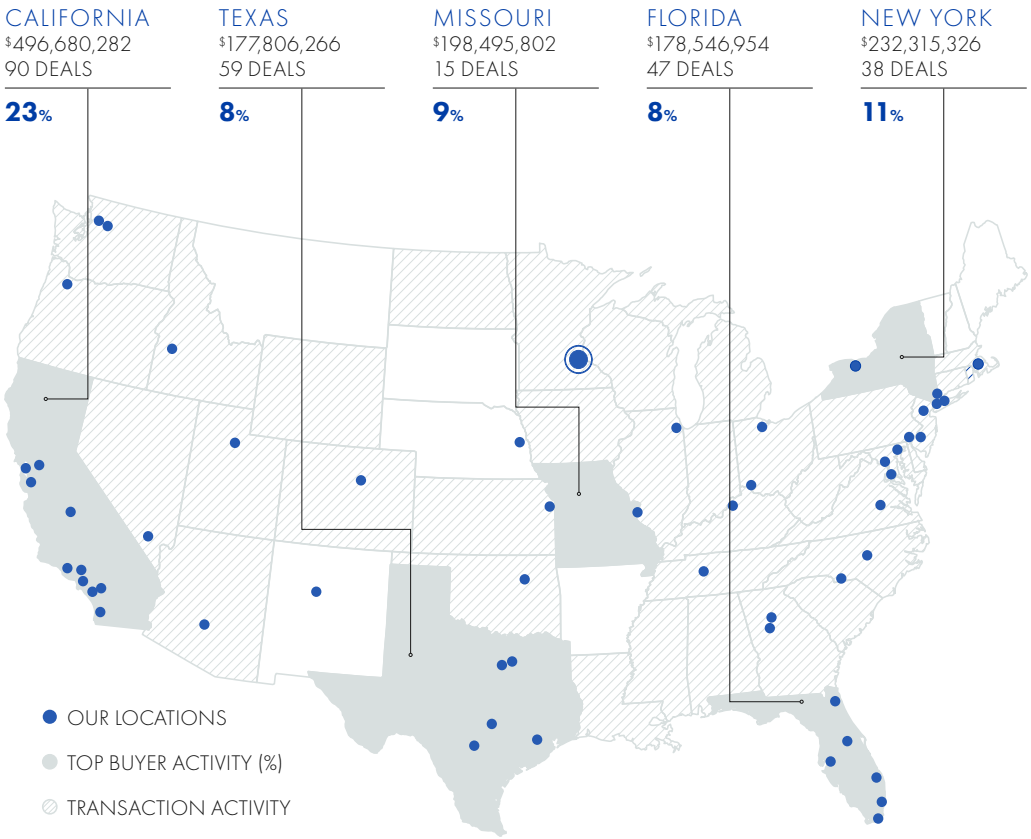
**91%** PRIVATE CAPITAL
The largest of all buyers on Northmarq transactions

### TRACK RECORD BY BUYER TYPE

Our shared database and historical presence in the industry provides unmatched, in-house access to buyers. Northmarq's largest percentage of investors (91%) are private individuals. In 2023 the average cap rate for individual investors was 6.86%.

DEALS BY BUYER TYPE

| BUYER TYPE | # OF DEALS | AVG. CAP RATE | TOTAL SALES VOL. |
|---|---|---|---|
| **Individual** | **175** | **6.86%** | **$434,549,489** |
| **Developer** | **163** | **6.27%** | **$870,120,473** |
| Institutional | 52 | 6.39% | $202,231,692 |
| Private Equity | 33 | 6.35% | $151,505,500 |
| Pooled Individuals | 19 | 7.07% | $114,903,150 |
| Other | 162 | 4.77% | $397,515,900 |
| **TOTALS** | **604** | **6.28%** | **$2,170,826,204** |




## IDENTIFYING FIRST-TIME BUYERS

We've spent the past two years studying net lease buyer habits behaviorally and quantitatively. No other firm in the industry has attempted this. Private capital buyers behave differently than large institutional players. In fact, over 80% of the unique buyers in the net lease space were one-time purchasers over the past five years and have yet to acquire another deal. Private capital buyers are and have always been the most aggressive portion of the buyer pool for net lease. The ability to quickly identify and engage private capital buyers is what drives pricing for single-tenant properties. Over the past two years, 58% of our buyers were first-time purchasers of net lease through Northmarq.

# SERVICES OFFERED

### FORMAL MARKETING

The value of every single-tenant transaction is directly affected by the investor audience exposed to and bidding on the opportunity. Exclusively engage Northmarq to initiate formal marketing of your asset and your property will receive broad, systematic exposure to an unrivaled audience of single-tenant investors worldwide. This will drive competition among buyers and will drive at maximizing proceeds all while assuring seamless execution. Others may boast about a one-off sale but our unmatched approach consistently yields market making results with our time-tested ability to qualify offers.

### PRIVATE PLACEMENT

Leverage the collective knowledge, expertise and track record of Northmarq to discretely, privately and directly place an opportunity with a proven Buyer at a competitively-generated price that will provide for sure and timely execution and an abbreviated marketing stint.

### PERIODIC VALUATION

The market is ever-changing. Pervasive shifts and dynamic trends are inescapable for the real estate investor. Periodic valuation and an on-demand assessment of marketability can aide in determining when to monetize and conclude an investment. Our team provides annual valuation for our clients for just this reason. Take advantage of our market expertise.

### MARKET INTELLIGENCE AND ANALYSIS

A significant focus of what we do is single-tenant dialysis-leased. Take advantage of our market intelligence - comparable sales, market data, rental rates, sample lease terms, marketing feedback, etc.

### TAX-DEFERRED EXCHANGES

Our team coordinates the acquisition of replacement property in the single-tenant market for our clients on tax-deferred exchanges. We have handled multiple large and complex exchanges including one as large as $160 million in cumulative value that represented eleven separate transactions. Avoid the stress and allow us to partner with you through this stressful period, holding your hand through various complexities that may arise. Our reach is unmatched by our competition, engage our team and see higher quality on and off market product when searching for replacement product.

### BTS/JV EQUITY PLACEMENT

Knowledgeable brokers generate competition in the buyer pool to drive at maximizing sales proceeds. Generate competition when searching for a capital source to help fund future projects in order to free up resources and diversify the risk in the development pipeline. Friends and family or institutional partners are not the only routes to pursue when funding a build-to-suit development. Northmarq has successfully closed on many equity sourcing or joint-venture transactions that represent over $1.2 billion in total constructed value, which includes more than $125 million in equity capital raised.

### FULL-SERVICE CAPITAL SOLUTIONS/FORWARD COMMITMENT

Our team has significant experience with structured transactions. Forward commitment or loan-to-own type structures can be a strong hedge against potential future market risks when working to bring a new build-to-suit development online.

# SAMPLE GOVERNMENT-LEASED TRANSACTIONS

## GSA-MEPS
EL SEGUNDO, CA
$31,300,000

## Dept. of Veterans Affairs
RIVERVIEW, FL
$29,472,000

## GSA-USDA (APHIS)
EL SEGUNDO, CA
$47,000,000

## GSA-NPS
BAYFIELD, WI
$7,750,000

## GSA-MEPS & CIS
KANSAS CITY, MO
$11,720,000

## GSA-USDA
SARASOTA, FL
$11,000,000

## GSA-USDA
KANSAS CITY, MO
$23,150,000

## Bureau of Land Mgmt.
EL DORADO HILLS, CA
$6,750,000

## Montana Dept. of Revenue
HELENA, MT
$6,300,000

## GSA-USDA
SOUTH SAN FRANCISCO, CA
$47,127,040

## State of Georgia
ATLANTA, GA
$7,950,000

## GSA-SSA Multi-Tenant
GRAND RAPIDS, MI
$8,855,300

## State of New Mexico
42-PROPERTY PORTFOLIO
$126,000,000

## Triad
LOS ALAMOS, NM
$19,200,000

## State of Georgia DFCS
LAVONIA, GA
$4,821,000

## VA/CBOC
FORT STOCKTON, TX
$1,500,000

Northmarq

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**Commercial Real Estate**
Debt + Equity | Investment Sales | Loan Servicing | Fund Management

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